

**Contract Documents
For**

Construction Package BP#04

**Execution of Skeleton Works & Masonry for
Two Blocks at
RI8 Compound Project**

Contract No. RI8-M03-C06

**Between
ERG Development
and
ABEC**

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Section 1.1

CONTRACT AGREEMENT

SECTION 1.1

CONTRACT AGREEMENT

This Agreement is made on the 16th of September 2025

Between

ERG DEVELOPMENTS (اعمار رزق للاستثمار والتطوير العقاري) CR # 159241 having its registered office at North 90 St. Building No.260, Fifth Settlement, New Cairo – Egypt and represented by Eng. Mohamed Rezk in his capacity as رئيس مجلس الإدارة (hereinafter called "the Employer") of the one part,

and

ABEC (إبيك للانشاءات المتطورة), CR #212926, having its registered address at apt.6 , 2nd floor, Bld no.12, lotus area 7 , New Cairo , Cairo, Egypt and represented by Mohamed Ibrahim rezk Bedier in his capacity as Chief Executive Officer (hereinafter called "the Contractor") of the other part

Whereas the Employer desires that the Works known as **the execution, carrying out, completion and remedying the defects of Construction Package (RI8 BP#04) "Execution Of Core & shell Works for two Blocks for RI8 Project", New administrative capital** - should be executed by the Contractor, and has accepted a Tender by the Contractor for the execution and completion of these Works and the remedying of any defects therein,

The Employer and the Contractor agree as follows:

1. In this Agreement words and expressions shall have the same meanings as are respectively assigned to them in the Conditions of Contract hereinafter referred to.
2. The following documents shall be deemed to form and be read and construed as part of this Agreement:
 - a) The Contract Agreement and Appendix to Tender;
 - b) These Contract Conditions and Annexes,
 - c) The Letter of Acceptance,
 - d) Tender Document & Addendum
 - e) the Schedules and any other documents forming part of the Contract.
 - f) BOQ's
 - g) Drawing
 - h) Specification
3. In consideration of the payments to be made by the Employer to the Contractor as hereinafter mentioned, the Contractor hereby covenants with the Employer to execute and complete the Works and remedy any defects therein, in conformity with the provisions of the Contract.

The Employer hereby covenants to pay the Contractor, in consideration of the execution and completion of the Works and the remedying of defects therein, **the re-measured total Contract Price of EGP 429,123,258 (Only four hundred twenty nine Million one hundred twenty three thousand, two hundred fifty-eight Egyptian Pounds) for two blocks splitted as following & as attached Table** , excluding provisional sums and inclusive of all applicable taxes, Value Added Tax (VAT), Table Tax, insurances, social insurance, levies, customs, duties, stamps, governmental expenses and all other taxes, costs and expenses required in the Arab Republic of Egypt for proper completion of the Works.

- **Basic scope (Stage 1): EGP 287,584,996 (Only two hundred eighty-seven Million five hundred eighty-four thousand, nine hundred ninety-six Egyptian Pounds)**

- **Optional scope (Stage 2): EGP 141,538,263 (Only one hundred forty-one Million five hundred thirty-eight thousand, two hundred sixty-three Egyptian Pounds)**

In Witness whereof the parties hereto have caused this Agreement to be executed the day first mentioned above

SIGNED by: On behalf of ERG development, "The Employer"

Name: Eng. Mohamed Rezk

Position: رئيس مجلس الإدارة

Date: _____

SIGNED by: On behalf of ABEC, "The Contractor"

Name: Mohamed Ibrahim rezk Bedier

Position: رئيس مجلس الإدارة

Date: _____

Section 1.2
APPENDIX TO TENDER

SECTION 1.2
APPENDIX TO TENDER

Item	Sub-Clause	Data
Employer's Name and Address	1.1.2.2 & 1.3	ERG Development , North 90 St. Building No.260, Fifth Settlement, New Cairo – Egypt Montaser.elserougy@ergdevelopments.com
Contractor's name and address	1.1.2.3 & 1.3	ABEC (إبيك للانشاءات المتطورة) , CR #212926, having its registered address at apt.6 , 2 nd floor, Bld no.12, lotus area 7, New Cairo , Cairo, Egypt
Engineer's name and address	1.1.2.4 & 1.3	ACE Consulting Engineers MOHARRAM BAKHOUM Consultants with its premises located at– Building 5 – ElGomhoriyah Square –Dokki – Giza - Egypt
Time for Completion of the Works	1.1.3.3	18 months in calendar days calculated from the commencement date
Defects Notification Period	1.1.3.7	12 months (365 days) from the Taking Over Certificate
Percentage of Profit	1.2	5% of the Cost.
Governing Law	1.4.1	Laws of Egypt
Ruling language	1.4.2	English
Language for communications	1.4.3	English
Time for access to the Site	2.1	Date of the Letter of Acceptance
Amount of Performance Security	4.2	5% of the Accepted Contract Amount (excluding the Provisional sum), in the currencies and proportions in which the Contract Price is payable.
Amounts to be deducted per day	4.3	10,000 EGP/day.
Coordination Fee for the Nominated Subcontractor(s)	5.1	5% of the Nominated Subcontract's Price except for "supplied RC & Steel " by client if applicable .
Normal working hours	6.5	8:00 AM to 5:00 PM; 6 days per week.
Commencement Date	8.1	The Commencement Date shall be the date of the Contractor has the Possession of the Site, received partial Advance Payment, whatever is later. However, the Engineering works shall commence upon receipt of the Issued for Construction (IFC) drawings from the Employer/Engineer. The Time for Completion shall be calculated starting from the Commencement Date. The Contractor shall commence mobilization after the signing of LOA and/or signing the agreement, what's ever is later
Delay damages for the Works	8.7 & 14.15(b)	In case of failure to complete the whole project within the Time for Completion of the Works: 1 % of the final Contract Price per week, in the currencies and proportions in which the Contract Price is payable. In case of failure to complete any milestone as specified in Annex III: The Contractor will be liable to pay the amount of Delay Damages stated in Annex III (Contractual Milestones), to be deducted from any amounts due to the Contractor. These damages will be refunded at the end of the Project should the Contractor succeed in achieving the overall Time

		for Completion of the whole Project. Any delay damages deducted due to the Contractor's failure to meet a specified Milestone will be deemed to have been paid as part of the delay damages applicable to the overall Time for Completion.
Maximum amount of delay damages.	8.7	10% of the final Contract Price.
Value Engineering	13.2	The fee shall be 5% of saved cost
Percentage of overheads and profit for Provisional Sums	13.5	25%
Total Advance Payment	14.2	5% of the Basic scope contract amount (Stage 1) divided to 2.5% after signing the LOA & 2.5% upon completion of the mobilization stage 10% of the Optional scope contract amount (Stage 2) - 3 month in advance of activating the stage “ 2 nd & 3 rd fix MEP & optional finishing “
Number and timing of instalments	14.2	-
Repayment of Advance Payment	14.2	5% of the Basic scope contract amount (Stage 1)
Percentage of Retention	14.3	5% of the Contract Price.
Plant and Materials for payment when delivered to the Site.	14.5(c)	60% from bill amount or 50 % from the B.O.Q item
Period for Engineer's issuance of an Interim Payment Certificate to the Employer	14.6	15 working days
Minimum amount of Interim Payment Certificates	14.6	50% of Monthly approved cashflow based on the approved programme
Period for the Employer's payment of the amount certified in each Interim Payment Certificate	14.7	30 working days after the Engineer approves and certifies the Interim Payment Certificate The total period for the employer's payment is 45 Working days from the date of the submission of the contractor's invoice.
Period for the Employer's payment of the amount certified in the Final Payment Certificate	14.7	45 Working days
Percentage of Financing Charges on delayed payments.	14.8	5%
Currency of payment	14.15	Egyptian Pounds
Periods for submission of insurance: (a) evidence of insurance.....	18.1	14 days
(b) relevant policies	18.1	21 days
Amount of Insurance	18.2	120% of the Accepted Contract Amount
Maximum amount of deductibles for insurance of the risks specified in sub-paragraph (d)	18.2(d)	EGP Zero
Minimum amount of third-party insurance	18.3	EGP 500,000
Place of Arbitration	20.6	Cairo, Egypt

Section 1.3

General Conditions

General Conditions of Contract

The General Conditions of Contract shall be the Conditions of Contract for Construction: for Building and Engineering Works Designed by the Employer, First Edition 1999, prepared and obtainable from the Fédération International des Ingénieurs-Conseils, (FIDIC) PO Box 86, CH 1006, Lausanne, 12-Chailly Switzerland.

The General Conditions of Contract shall be read in conjunction with the Particular Conditions, which shall extend, override and/or modify the General Conditions of Contract.

Section 1.4

Particular Conditions

Section 1.4: Particular Conditions

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Contract Conditions

1. GENERAL PROVISIONS

1.1 Definitions

In the Conditions of Contract ("these Conditions"), which refers to Contract Conditions, the following words and expressions shall have the meaning stated. Words indicating persons or parties include corporations and other legal entities, except where the context requires otherwise.

1.1.1 The Contract

1.1.1.1 "Contract"

means the Contract Agreement, the Letter of Acceptance, the Letter of Tender, these Conditions, the Specification, the Drawings, the Schedules, and the further documents (if any) which are listed in the Contract Agreement or in the Letter of Acceptance.

1.1.1.2 "Contract Agreement"

means the contract agreement (if any) referred to in Sub-Clause 1.6 *[Contract Agreement]*.

1.1.1.3 "Letter of Acceptance"

means the letter of formal acceptance, signed by the Employer, of the Letter of Tender, including any annexed memoranda comprising agreements between and signed by both Parties. If there is no such letter of acceptance, the expression "Letter of Acceptance" means the Contract Agreement and the date of issuing or receiving the Letter of Acceptance means the date of signing the Contract Agreement.

1.1.1.4 "Letter of Tender"

means the document entitled letter of tender, which was completed by the Contractor and includes the signed offer to the Employer for the Works.

1.1.1.5 "Specification"

means the document entitled specification, as included in the Contract, and any additions and modifications to the specification in accordance with the Contract. Such document specifies the Works.

1.1.1.6 "Drawings"

means the drawings of the Works, as included in the Contract, and any additional and modified drawings issued by (or on behalf of) the Employer in accordance with the Contract.

1.1.1.7 "Schedules"

means the document(s) entitled schedules, completed by the Contractor and submitted with the Letter of Tender, as included in the Contract. Such document may include the Bill of Quantities, data, lists, and schedules of rates and/or prices.

1.1.1.8 "Tender"

means the Letter of Tender and all other documents which the Contractor submitted with the Letter of Tender, as included in the Contract.

1.1.1.9 "Appendix to Tender"

means the completed pages entitled appendix to tender which are appended to and form part of the Letter of Tender.

1.1.1.10 **"Bill of Quantities"** and **"Daywork Schedule"** mean the documents so named (if any) which are comprised in the Schedules.

1.1.2 Parties and Persons

1.1.2.1 “Party”

means the Employer or the Contractor, as the context, requires.

1.1.2.2 “Employer”

means the person named as employer in the Appendix to Tender and the legal successors in title to this person.

1.1.2.3 “Contractor”

means the person(s) named as contractor in the Letter of Tender accepted by the Employer and the legal successors in title to this person(s).

1.1.2.4 “Engineer”

means the person appointed by the Employer to act as the Engineer for the purposes of the Contract and named in the Appendix to Tender, or other person appointed from time to time by the Employer and notified to the Contractor under Sub-Clause 3.4 *[Replacement of the Engineer]*.

1.1.2.5 “Contractor’s Representative”

means the person named by the Contractor in the Contract or appointed from time to time by the Contractor under Sub-Clause 4.3 *[Contractor’s Representative]*, who acts on behalf of the Contractor.

1.1.2.6 “Employer’s Personnel”

means the Engineer, the assistants referred to in Sub-Clause 3.2 *[Delegation by the Engineer]* and all other staff, labour and other employees of the Engineer and of the Employer; and any other personnel notified to the Contractor, by the Employer or the Engineer, as Employer’s Personnel.

1.1.2.7 “Contractor’s Personnel”

means the Contractor’s Representative and all personnel whom the Contractor utilizes on Site, who may include the staff, labour and other employees of the Contractor and each Subcontractor; and any other personnel assisting the Contractor in the execution of the Works.

1.1.2.8 “Subcontractor”

means any person named in the Contract as a subcontractor, or any person appointed as a subcontractor, for a part of the Works; and the legal successors in title to each of these persons.

1.1.3 Dates, Tests, Periods and Completion

1.1.3.1 “Base Date”

means the date of submission of the Tender, or the last of its revisions (if any) by the Contractor, whichever is later.

1.1.3.2 “Commencement Date”

means the date notified under Sub-Clause 8.1 *[Commencement of Works]*.

1.1.3.3 “Time for Completion”

means the time for completing the Works or a Section (as the case may be) under Sub-Clause 8.2 *[Time for Completion]*, as stated in the Appendix to the Tender (with any extension under Sub-Clause 8.4 *[Extension of Time for Completion]*), calculated from the Commencement Date.

1.1.3.4 “Tests on Completion”

means the tests which are specified in the Contract or agreed by both Parties or instructed as a Variation, and which are carried out under Clause 9 *[Tests on Completion]* before the Works or a

Section (as the case may be) are taken over by the Employer.

1.1.3.5 “Taking-Over Certificate”

means a certificate issued under Clause 10 *[Employer’s Taking Over]*.

1.1.3.6 “Tests after Completion”

means the tests (if any) which are specified in the Contract and which are carried out in accordance with the provisions of the Contract Conditions after the Works or a Section (as the case may be) are taken over by the Employer.

1.1.3.7 “Defects Notification Period”

means the period for notifying defects in the Works or a Section (as the case may be) under Sub-Clause 11.1 *[Completion of Outstanding Work and Remedying Defects]*, as stated in the Appendix to Tender (with any extension under Sub-Clause 11.3 *[Extension of Defects Notification Period]*), calculated from the date on which the Works or Section is completed as certified under Sub-Clause 10.1 *[Taking Over of the Works and Sections]*.

1.1.3.8 “Performance Certificate”

means the certificate issued under Sub-Clause 11.9 *[Performance Certificate]*.

1.1.3.9 “day” means a calendar day and **“year”** means 365 days.

1.1.3.10 “Working Day”

means a Calendar Day with the exception of Fridays and official holidays in Egypt as announced by the Government.

1.1.4 Money and Payments

1.1.4.1 “Accepted Contract Amount”

means the amount accepted in the Letter of Acceptance for the execution and completion of the Works and the remedying of any defects.

1.1.4.2 “Contract Price”

means the price defined in Sub-Clause 14.1 *[The Contract Price]*, and includes adjustments in accordance with the Contract.

1.1.4.3 “Cost”

means all expenditure reasonably incurred (or to be incurred) by the Contractor, whether on or off the Site, including overhead and similar charges, but does not include profit.

1.1.4.4 “Final Payment Certificate”

means the payment certificate issued under Sub-Clause 14.13 *[Issue of Final Payment Certificate]*.

1.1.4.5 “Final Statement”

means the statement defined in Sub-Clause 14.11 *[Application for Final Payment Certificate]*.

1.1.4.6 “Foreign Currency”

means a currency in which part (or all) of the Contract Price is payable, but not the Local Currency.

1.1.4.7 “Interim Payment Certificate”

means a payment certificate issued under Clause 14 *[Contract Price and Payment]*, other than the Final Payment Certificate.

1.1.4.8 “Local Currency”

means the Egyptian Pounds.

1.1.4.9 “Payment Certificate”

means a payment certificate issued under Clause 14 *[Contract Price and Payment]*.

1.1.4.10 “Provisional Sum”

means a sum (if any) which is specified in the Contract as a provision sum, for the execution of any part of the Works or for the supply of Plant, Materials or services under Sub-Clause 13.5 *[Provision Sums]*.

1.1.4.11 “Retention Money”

means the accumulated retention moneys which the Employer retains under Sub-Clause 14.3 *[Application for Interim Payment Certificates]* and pays under Sub-Clause 14.9 *[Payment of Retention Money]*.

1.1.4.12 “Statement”

means a statement submitted by the Contractor as part of an application, under Clause 14 *[Contract Price and Payment]*, for a payment certificate.

1.1.4.13 “Profit” or “Reasonable Profit”

means the percentage of profit stated in the Appendix to Tender.

1.1.5 Works and Goods

1.1.5.1 “Contractor’s Equipment”

means all apparatus, machinery, vehicles and other things required for the execution and completion of the Works and the remedying of any defects. However, Contractor’s Equipment excludes Temporary Works, Employer’s Equipment (if any), plant, Materials and any other things intended to form or forming part of the Permanent Works.

1.1.5.2 “Goods”

means Contractor’s Equipment, Materials, Plant and Temporary Works, or any of them as appropriate.

1.1.5.3 “Materials”

means things of all kinds (other than Plant) intended to form or forming part of the Permanent Works, including the supply-only materials (if any) to be supplied by the Contractor under the Contract.

1.1.5.4 “Permanent Works”

means the permanent works to be executed by the Contractor under the Contract.

1.1.5.5 “Plant”

means the apparatus, machinery and vehicles intended to form or forming part of the Permanent Works.

1.1.5.6 “Section”

means a part of the Works specified in the Appendix to Tender as a Section (if any).

1.1.5.7 “Temporary Works”

means all temporary works of every kind (other than Contractor’s Equipment) required on Site for the execution and completion of the Permanent Works and the remedying of any defects.

1.1.5.8 "Works"

means the Permanent Works and the Temporary Works, or either of them as appropriate.

1.1.6 Other Definitions

1.1.6.1 "Contractor's Documents"

means the calculations, computer programs and other software, drawings, manuals, models and other documents of a technical nature (if any) supplied by the Contractor under the Contract.

1.1.6.2 "Country"

means the "Arab Republic of Egypt".

1.1.6.3 "Employer's Equipment"

means the apparatus, machinery and vehicles (if any) made available by the Employer for the use of the Contractor in the execution of the Works, as stated in the Specification; but does not include Plant which has not been taken over by the Employer.

1.1.6.4 "Force Majeure"

is defined in Clause 19 [*Force Majeure*].

1.1.6.5 "Laws"

means all national (or state) legalisation, statutes, ordinances and other laws, and regulations and by-laws of any legally constituted public authority.

1.1.6.6 "Performance Security"

means the security (or securities, if any) under Sub-Clause 4.2 [*Performance Security*].

1.1.6.7 "Site"

means the land plots or places where the Works are to be carried out, whether on, in, under or into it, or any other land plots or places provided by the Employer for the Contract purposes, as well as any other places stated in the Contract as part of the site.

means the places where the Permanent Works are to be executed and to which Plant and Materials are to be delivered, and any other

1.1.6.8 "Unforeseeable"

means not reasonably foreseeable by an experienced Contractor by the date for submission of the Tender.

1.1.6.9 "Variation"

means any change to the Works, which is instructed or approved as a variation under Clause 13 [*Variations and Adjustments*].

1.1.6.10 "Confidential Information"

means any information, whether in oral, written, magnetic, digital or other form, including any Employer's data, relating to one party or its Agents (the "Disclosing Party") and/or the business carried out or proposed or intended to be carried out by the Disclosing Party and which is made available in connection with the Contract to the other party or its Agents (the "Receiving Party") by the Disclosing Party or which is recorded in agreed minutes following oral disclosure to the Receiving Party and any other information of a corporate, financial operative or other nature and whether stated to be

confidential or not, which is otherwise made available by the Disclosing Party to the Receiving Party, whether before, on or after the date of this Contract, including any information, analysis or specifications derived from, containing or reflecting such information, all compilations, analyses, excerpts, summaries, work products or other documents drawn up by the Disclosing Party which relate to business carried out or proposed or intended to be carried out by the Disclosing Party, but excluding information

which:

- i. is publicly available at the time of its disclosure or becomes publicly available (other than as a result of disclosure by the Receiving Party (contrary to the terms of this Contract); or
- ii. was lawfully in the possession of the Receiving Party (as can be demonstrated by its written records or other reasonable evidence) free of any restriction as to its use or disclosure prior to its being so disclosed; or
- iii. following such disclosure, becomes available to the Receiving Party (as can be demonstrated by its written records or other reasonable evidence) from a source other than the Disclosing Party, which source is not bound by any duty of confidentiality owed, directly or indirectly, to the Disclosing Party in relation to such information."

1.2 Interpretation

In the Contract, except where the context requires otherwise:

- (a) words indicating one gender include all genders;
- (b) words indicating the singular also include the plural and words indicating the plural also include the singular;
- (c) provisions include the word "agree", "agreed" or "agreement" require the agreement to be recorded in writing, and
- (d) "written" or "in writing" means hand-written, type-written, printed or electronically made, and resulting in a permanent record.

The marginal words and other headings shall not be taken into consideration in the interpretation of these Conditions.

1.3 Communications

Where these Conditions provide for the giving or issuing of approvals, certificates, consents, determinations, notices and requests, these communications shall be:

- (a) in writing and delivered by hand (against receipt), sent by mail or courier, or transmitted using any of the agreed systems of electronic transmission as stated in the Appendix to Tender: and
- (b) delivered, sent or transmitted to the address for the recipient's communications as stated in the Appendix to Tender. However;
 - (i) if the recipient gives notice of other address, communications shall thereafter be delivered accordingly; and
 - (ii) if the recipient has not stated otherwise when requesting an approval or consent, it may be sent to the address from which the request was issued.

Approvals, certificates, consents and determinations shall not be unreasonably withheld or delayed. When a certificate is issued to a Party, the certifier shall send a copy to the other Party. When a notice is issued to a Party, by the other Party or the Engineer, a copy shall be sent to the Engineer or the other Party, as the case may be.

1.4 Law and Language

1.4.1 The Contract shall be in the language stated in the Appendix to Tender, which shall be considered the ruling language' of the Contract.

1.4.2 The Contract shall be governed by, applied, construed and interpreted according to the Laws prevailing in the Arab Republic of Egypt.

1.4.3 All correspondences arising in connection with the Contract shall be written and recorded in the ruling language of the Contract.

1.4.4 If there are versions of any part of the Contract which are written in more than one language, the version which is in the ruling language stated in the Appendix to Tender shall prevail.

1.5 Priority of Documents

The documents forming the Contract are to be taken as mutually explanatory of one another. For the purposes of interpretation, the priority of the documents shall be in accordance with the following sequence:

(a) The Contract Agreement and Appendix to Tender;

These Contract Conditions and Annex's,

The Letter of Acceptance,

the Schedules and any other documents forming part of the Contract.

BOQ's

Drawing

Specification

If an ambiguity or discrepancy is found in the documents, the Engineer shall issue any necessary clarification or instruction.

The Contractor hereby acknowledges and undertakes that such discrepancy or contradiction, if any, shall not constitute a ground for any claim whatsoever to be raised by the Contractor.

This Contract contains the complete agreement between the Employer and the Contractor. This Contract supersedes all other oral and/or written communications, representations, agreements or undertakings pursuant to such matters included in this Contract. Communications made before the date of this Contract which are not expressly contained within this Contract shall not be deemed to be incorporated into this Contract.

1.6 Contract Agreement

The Parties shall enter into a Contract Agreement within 28 days after the Contractor receives the Letter of Acceptance, unless they agree otherwise. The Contract Agreement shall be based upon the Contract Conditions. The Contractor shall bear the costs of stamp duties and similar charges (if any) imposed by law in connection with entry into the Contract Agreement"

1.7 Assignment

The Employer has the absolute right, at any time, whether during or after the duration of the Contract, to assign the whole of any part of the Contract or any benefit or interest in or under the Contract. The Contractor shall not assign the whole of any part of the Contract or any benefit or interest in or under the Contract without the written approval of the Employer.

1.8 Care and Supply of Documents

The Specification and Drawings shall be in the custody and care of Employer Unless otherwise stated in the Contract, two copies of the Contract and of each subsequent Drawing shall be supplied to the Contractor, who may make or request further copies at the cost of the Contractor.

Each of the Contractor's Documents shall be in the custody and care of the Contractor, unless and until taken over by the Employer. Unless otherwise stated in the Contract, the Contractor shall supply to the Engineer six copies of each of the Contractor's Documents.

The Contractor shall keep, on the Site, a copy of the Contract, publications named in the Specification, the Contractor's Documents (if any), the Drawings and Variations and other communications given under the Contract. The Employer's Personnel shall have the right of access to all these documents at all reasonable times.

If a Party becomes aware of an error or defect of a technical nature in a document which was prepared for use in executing the Works, the Party shall promptly give notice to the other Party of such error or defect.

The Employer has the absolute right, at any time, whether during or after the duration of the Contract, to award, assign and transfer the completion of the Works or any Section thereof to any other contractor at the Employer's absolute discretion.

1.9 Delayed Drawings or Instructions

The Contractor shall give notice to the Engineer whenever the Works are likely to be delayed or disrupted if any necessary drawing or instruction is not issued to the Contractor within a particular time, which shall be reasonable. The notice shall include details of the necessary drawing or instruction, details of why and by when it should be issued, and details of the nature and amount of the delay or disruption likely to be suffered if it is late.

If the Contractor suffers delay and/or incurs Cost as a result of a failure of the Engineer to issue the notified drawing or instruction within a time which is reasonable and is specified in the notice with supporting details, the Contractor shall give a further notice to the Engineer and shall be entitled subject to Sub-Clause 20.1 [*Contractor's Claims*] to:

- (a) an extension of time for any such delay, if completion is or will be delayed, under Sub-Clause 8.4 [*Extension of Time for Completion*], and
- (b) payment of any such Cost, which shall be included in the Contract Price.

After receiving this further notice, the Engineer shall proceed in accordance with Sub-Clause 3.5 [*Determinations*] to agree or determine these matters.

However, if and to the extent that the Engineer's failure was caused by any error or delay by the Contractor, including an error in, or delay in the submission of, any of the Contractor's Documents, the Contractor shall not be entitled to such extension of time, Cost or profit.

1.10 Employer's use of Contractor's Documents

As between the Parties, the Contractor shall retain the copyright and other intellectual property rights in the Contractor's Documents and other design documents made by (or on behalf of) the Contractor.

The Contractor shall be deemed (by signing the Contract) to give to the Employer a non-terminable transferable non-exclusive royalty-free license to copy, use and communicate the Contractor's Documents, including making and using modifications of them. This license shall:

- (a) apply throughout the actual or intended working life (whichever is longer) of the relevant parts of Works,
- (b) entitle any person in proper possession of the relevant part of the Works to copy, use and

communicate the Contractor's Documents for the purposes of completing, operating, maintaining, altering, adjusting, repairing and demolishing the Works, and

- (c) in the case of Contractor's Documents which are in the form of computer programs and other software, permit their use on any computer on the Site and other places as envisaged by the Contract, including replacements of any computers supplied by the Contractor.

The Contractor's Documents and other design documents made by (or on behalf of) the Contractor shall not, without the Contractor's consent, be used, copied or communicated to a third party by (or on behalf of) the Employer for purposes other than those permitted under this Sub-Clause.

The Contractor shall indemnify the Employer and keep the Employer fully and effectively indemnified against any and all losses which the Employer may sustain or incur, or which may be brought or established by the Employer or by any of its sub-licensees (where permitted under this Contract), and which in any case arise out of or in relation to or by reason that the use by the Employer or by its permitted sub-licensees of the documents, software and patented articles, processes or Inventions referred to in this Sub-Clause, infringes the Intellectual Property Rights of any third party whether, in each case, such losses are incurred directly by the Employer or as a result, without limitation, of any indemnity given at any time by the Employer to any sub-licensee upon the same terms mutatis mutandis as this Sub-Clause.

1.11 Contractor's Use of Employer's Documents

As between the parties, the Employer shall retain the copyright and other intellectual property rights in the Specification, the Drawings and other documents made by (or on behalf of) the Employer. The Contractor may, at his cost, copy, use, and obtain communication of these documents for the purposes of the Contract. They shall not, without the Employer's consent, be copied, used or communicated to a third party by the Contractor, except as necessary for the purposes of the Contract.

1.12 Confidential Details

The Contractor shall disclose all such confidential and other information as the Engineer may reasonably require in order to verify the Contractor's compliance with the Contract.

The Contractor shall treat the Contract and everything contained therein as private and confidential. The Contractor shall not disclose or divulge information of any kind to any other parties without the written consent of the Engineer, who shall seek the written approval of the Employer. In particular, the Contractor shall not issue any statements, publish any information, issue any Drawings concerning the Works and shall not use the Site for advertising (including that of his own operations) without the written consent of the Engineer and subject to such conditions as the Engineer may prescribe.

The provisions of this Clause shall continue to apply notwithstanding any termination of this Contract or the Contractor's employment pursuant to it for any reason or the completion of the Works or the expiry of this Contract.

1.13 Compliance with Laws

The Contractor shall, in performing the Contract, comply with applicable Laws.

- (a) the Employer shall have obtained (or shall obtain) the planning, zoning or similar permission for the Permanent Works, and any other permissions described in the Specification as having been (or being) obtained by the Employer; and the Employer shall indemnify and hold the Contractor harmless against and from the consequences of any failure to do so; and
- (b) the Contractor shall give all notices, pay all taxes, duties and fees, and obtain all permits, Licences and approvals, as required by the Laws in relation to the execution and completion of the Works and the remedying of any defects; and the Contractor shall indemnify and hold the Employer harmless against and from the consequences of any failure to do so.
- (c) Contractor's prices shall include all business taxes, income taxes, local taxes, value-added taxes

(applied on contracting services, products, imported items, etc...) customs, import duties, port duties, charges, levies, social insurance, and other taxes that may be levied in accordance with the laws and regulations of the Arab Republic of Egypt.

- (d) The Contractor agrees that social insurance contributions applicable to his Contract as stipulated on the Social Insurance Law and Regulations are the Contractor's own liability and he shall comply with the Social Insurance and Labour Laws and shall hold the Employer harmless of any breach of such Laws. The Engineer shall be entitled to withhold up to five (5%) per cent of any Interim Payment Certificate until the Contractor submits the social insurance certificate proving his payment of the certified amount of insurance charges of previous payments. Any withheld amount shall be released with the following payment after the Contractor provides such proof. Payment of the Final Certificate shall be postponed until receipt of the Final Insurance Certificate provided that the Employer shall provide the Contractor with all documents required by the Social Insurance Authority to enable him to finalize such payment.
- (e) If the Contractor or any of his Subcontractors, agents or servants offers to give or agrees to offer or give to any person, any bribe, gift, gratuity or commission as an inducement to reward for doing or forbearing to do any action in relation to the Contract or any other contract with the Employer or for showing or forbearing to show favor or disfavor to any person in relation to the Contract or any other contract with the Employer, then the Employer may enter upon the Site and terminate the employment of the Contractor and the provisions of Clause 15 [*Termination by Employer*] hereof shall apply as if such entry and termination had been made pursuant to that Clause.

1.14 Joint and Several Liability

If the Contractor constitutes (under applicable Laws) a joint venture, consortium or other unincorporated grouping of two or more persons:

- (a) these persons shall be deemed to be jointly and severally liable to the Employer for the performance of the Contract;
- (b) these persons shall notify the Employer of their leader who shall have authority to bind the Contractor and each of these persons; and
- (c) the Contractor shall not alter its composition or legal status without the prior consent of the Employer.

2. THE EMPLOYER

2.1 Right of Access to the Site

The Employer shall give the Contractor right of access to, and possession of, all parts of the Site within the time (or times) stated in the Appendix to Tender. The right and possession may not be exclusive to the Contractor. If, under the Contract, the Employer is required to give (to the Contractor) possession of any foundation, structure, plant or means of access, the Employer shall do so in the time and manner stated in the Specification. Nothing contained in this Contract shall grant to the Contractor the right to exclusive possession of the whole or any part of the Site.

However, the Employer may withhold any such right or possession until the Performance Security has been received.

If no such time is stated in the Appendix to Tender, the Employer shall give the Contractor right of access to, and possession of, the Site within such times as may be required to enable the Contractor to proceed in accordance with the programme submitted under Sub-Clause 8.3 [*Programme*].

If the Contractor suffers delay and/or incurs Cost as a result of a failure by the Employer to give any such right or possession within such time, the Contractor shall give notice to the Engineer and shall be entitled subject to Sub-Clause 20.1 [*Contractor's Claims*] to:

- (a) an extension of time for any such delay, if completion is or will be delayed under Sub-Clause 8.4 *[Extension of Time for Completion]*; and
- (b) payment of any such Cost, which shall be included in the Contract Price.

After receiving this notice, the Engineer shall proceed in accordance with Sub-Clause 3.5 *[Determinations]* to agree or determine these matters.

However, if and to the extent that the Employer's failure was caused by any error or delay by the Contractor, including an error in, or delay in the submission of, any of the Contractor's Documents, the Contractor shall not be entitled to such extension of time, Cost or profit.

2.2 Permits, Licences or Approvals

The Employer shall (where he is in a position to do so) provide reasonable assistance to the Contractor at the request of the Contractor:

- (a) for the Contractor's applications for any permits, Licences or approvals required by the Laws of the Country:
 - (i) which the Contractor is required to obtain under Sub-Clause 1.13 *[Compliance with Laws]*,
 - (ii) for the delivery of Goods, including clearance through customs, and
 - (iii) for the export of Contractor's Equipment when it is removed from the Site.

No assistance provided by the Employer to the Contractor pursuant to this Sub-Clause shall diminish or relieve the Contractor from his liabilities or obligations under or in connection with this Contract, nor shall such liabilities or obligations be restricted or qualified in any way.

2.3 Employer's Personnel

The Employer shall be responsible for ensuring that the Employer's Personnel and the Employer's other contractors on the Site:

- (a) co-operate with the Contractor's efforts under Sub-Clause 4.6 *[Co-operation]*, and
- (b) take actions similar to those which the Contractor is required to take under subparagraphs (a), (b) and (c) of Sub-Clause 4.8 *[Safety Procedures]* and under Sub-Clause 4.18 *[Protection of the Environment]*.

3 THE ENGINEER

3.1 Engineer's Duties and Authority

The Employer shall appoint the Engineer who shall carry out the duties assigned to him in the Contract. The Engineer's staff shall include suitably qualified engineers and other professionals who are competent to carry out these duties.

The Engineer shall have no authority to amend the Contract.

The Engineer may exercise the authority attributable to the Engineer as specified in or necessarily to be implied from the Contract. However, the Engineer shall be required to obtain the Employer's approval before exercising the following authorities except in the event of emergency or a matter involving a health or safety issue.

- (a) The issue of an instruction to suspend the Works under Sub-Clause 8.8 *[Suspension of Work]*;
- (b) The issuance of the Taking-Over Certificate under Sub-Clause 10.1 *[Taking Over of the Works and Sections]*;

- (c) The issuance of the Performance Certificate under Sub-Clause 11.9 [*Performance Certificate*];
- (d) The instruction of any Variation under Clause 13 [*Variations and Adjustments*];
- (e) Provisional Sums under Sub-Clause 13.5 [*Provisional Sums*];
- (f) The issuance of the Final Payment Certificate under Sub-Clause 14.13 [*Issue of a Final Payment Certificate*].

The Employer undertakes not to impose further constraints on the Engineer's authority, except as agreed with the Contractor.

However, whenever the Engineer exercises a specified authority for which the Employer's approval is required, then (for the purposes of the Contract) the Employer shall be deemed to have given approval.

Except as otherwise stated in these Conditions:

- (a) whenever carrying out duties or exercising authority, specified in or implied by the Contract, the Engineer shall be deemed to act for the Employer;
- (b) the Engineer has no authority to relieve either Party of any duties, obligations or responsibilities under the Contract; and
- (c) any approval, check, certificate, consent, examination, inspection, instruction, notice, proposal, request, test, or similar act by the Engineer (including absence of disapproval) shall not relieve the Contractor from any responsibility he has under the Contract, including responsibility for errors, omission, discrepancies and non-compliances.

3.2 Delegation by the Engineer

The Engineer may from time to time assign duties and delegate authority to assistants, and may also revoke such assignment or delegation. These assistants may include a resident engineer, and/or independent inspectors appointed to inspect and/or test items of Plant and/or Materials. The assignment, delegation or revocation shall be in writing and shall not take effect until copies have been received by both Parties. However, unless otherwise agreed by both Parties, the Engineer shall not delegate the authority to determine any matter in accordance with Sub-Clause 3.5 [*Determinations*].

Assistants shall be suitably qualified persons, who are competent to carry out these duties and exercise this authority, and who are fluent in the language for communications defined in Sub-Clause 1.4 [*Law and Language*]

Each assistant, to whom duties have been assigned or authority has been delegated, shall only be authorised to issue instructions to the Contractor to the extent defined by the delegation. Any approval, check, certificate, consent, examination, inspection, instruction, notice, proposal, request, test, or similar act by an assistant, in accordance with the delegation, shall have the same effect as though the act had been an act of the Engineer. However:

- (a) any failure to disapprove any work, Plant or Materials shall not constitute approval, and shall therefore not prejudice the right of the Engineer to reject the work, Plant or Materials;
- (b) if the Contractor questions any determination or instruction of an assistant, the Contractor may refer the matter to the Engineer, who shall promptly confirm, reverse or vary the determination or instruction.

3.3 Instructions of the Engineer

The Engineer may issue to the Contractor (at any time) instructions and additional or modified Drawings which may be necessary for the execution of the Works and the remedying of any defects, all in accordance with the Contract. The Contractor shall only take instructions from the Engineer, or from an assistant to whom the appropriate authority has been delegated under this Clause. If an instruction constitutes a Variation, Clause 13 [*Variations and Adjustments*] shall apply.

The Contractor shall comply with the instructions given by the Engineer or delegated assistant, on any matter related to the Contract. Whenever practicable, their instructions shall be given in writing. If the Engineer or a delegated assistant:

- (a) gives an oral instruction,
- (b) receives a written confirmation of the instruction, from (or on behalf of) the Contractor, within two working days after giving the instruction, and
- (c) does not reply by issuing a written rejection and/or instruction within two working days after receiving the confirmation.

Then the confirmation shall constitute the written instruction of the Engineer or delegated assistant (as the case may be).

3.4 Replacement of the Engineer

If the Employer intends to replace the Engineer, the Employer shall, not less than 15 days before the intended date of replacement, give notice to the Contractor of the name, address and relevant experience of the intended replacement Engineer. The Employer shall not replace the Engineer with a person against whom the Contractor raises reasonable objection by notice to the Employer, with supporting particulars.

3.5 Determinations

Whenever these Conditions provide that the Engineer shall proceed in accordance with this Sub-Clause 3.5 to agree or determine any matter, the Engineer shall consult with each Party in an endeavor to reach agreement. If agreement not achieved, the Engineer shall make a fair determination in accordance with the Contract, taking due regard of all relevant circumstances.

The Engineer shall give notice to both Parties of each agreement or determination, with supporting particulars. Each Party shall give effect to each agreement or determination unless and until revised under Clause 20 [*Claims, Disputes and Arbitration*].

4. THE CONTRACTOR

4.1 Contractor's General Obligations

The Contractor shall design (to the extent specified in the Contract), execute and complete the Works in accordance with the Contract and with the Engineer's instructions, and shall remedy any defects in the Works.

The Contractor shall provide the Plant and Contractor's Documents specified in the Contract, and all Contractor's Personnel, Goods, consumables and other things and services, whether of a temporary or permanent nature, required in and for this design, execution, completion and remedying of defects.

The Contractor shall be responsible for the adequacy, stability and safety of all Permanent work, Site operations and of all methods of construction. Except to the extent specified in the Contract, the Contractor (i) shall be responsible for all Contractor's Documents, Temporary Works, and such design of each item of Plant and Materials as is required for the item to be in accordance with the Contract.

The Contractor shall, whenever required by the Engineer, submit details of the arrangements and methods which the Contractor proposes to adopt for the execution of the Works. No significant alteration to these arrangements and methods shall be made without this having previously been notified to the Engineer.

If the Contract specifies that the Contractor shall design any part of the Permanent Works, then :

- (a) the Contractor shall submit to the Engineer the Contractor's Documents for this part in accordance with the procedures specified in the Contract;
- (b) these Contractor's Documents shall be in accordance with the Specification and Drawings, shall be written in the language for communications defined in Sub-Clause 1.4 [*Law and Language*], and shall include additional information required by the Engineer to add to the Drawings for co-ordination of each Party's designs;
- (c) the Contractor shall be responsible for this part and it shall, when the Works are completed, be fit for such purposes for which the part is intended as are specified in the Contract; and
- (d) prior to the commencement of the Tests on Completion, the Contractor shall submit to the Engineer the "as-built" documents and operation and maintenance manuals in accordance with the Specification and in sufficient detail for the Employer to operate, maintain, dismantle, reassemble, adjust and repair this part of the Works. Such part shall not be considered to be completed for the purposes of taking-over under Sub-Clause 10.1 [*Taking Over of the Works and Sections*] until these documents and manuals have been submitted to the Engineer.

4.2 Performance Security

The Contractor shall within twenty eight (28) days of the date of receiving the Letter of Acceptance, submit to the Employer a bank cheque (along with signature validity certificate) to the amount stated in the Appendix to Tender of the Contract Total Price as a performance guarantee of the Contract. In no event shall this amount constitute a ceiling or limitation of the liability of the Contractor."

The Employer's receipt of the bank cheque under this Sub-Clause is a prerequisite for the Employer's processing of the Contractor's Interim Payment Applications."

The security shall be in the name of the Employer, stipulating that the sum thereof be paid to the Employer on the first demand and shall be subject to recognition and approval of the Employer.

The Performance Security shall remain in full force and effect during the actual period of execution of the Works and until the issuance of the Defects Liability Certificate in respect of the Works.

The Performance Security shall be retained by the Employer during the period of execution of the Works and will be returned within 30 days after the issuance of the Defects Liability Certificate.

The Employer may at any time call in any sums from the Performance Security for which the Contractor may become liable to the Employer and which are not promptly paid by him. In such case the Contractor shall immediately upon receipt of a demand in writing from the Employer repay the amount so deducted.

If the Contractor refuses or fails to repay in full, the said amounts of such demand or to restate the Performance Security to its full amount, the Employer may either make good the deficit by deducting the amount from any sums payable to the Contractor or cancel the Contract and recover from the Contractor the amount of the said deficit. If the successful Tenderer fails to effect the said Performance Security in a manner and within the time required, the Employer may at his discretion withdraw by a simple notice given by a registered letter and without any legal or further formality, the acceptance of his Tender, the amount of the provisional deposit shall in such case ipso facto be forfeited by the Employer without further formality or proof of damage.

4.3 Contractor's Representative

The Contractor shall appoint the Contractor's Representative and shall give him all authority necessary to act on the Contractor's behalf under the Contract.

Unless the Contractor's Representative is named in the Contract, the Contractor shall, prior to the

Commencement Date, submit to the Engineer for consent the name and particulars of the person the Contractor proposes to appoint as Contractor's Representative. If consent is withheld or subsequently revoked, or if the appointed person fails to act as Contractor's Representative, the Contractor shall similarly submit the name and particulars of another suitable person for such appointment within 7 days.

The Contractor shall not, without the prior consent of the Engineer, revoke the appointment of the Contractor's Representative or appoint a replacement.

The whole time of the Contractor's Representative shall be given to directing the Contractor's performance of the Contract. If the Contractor's Representative is to be temporarily absent from the Site during the execution of the Works, a suitable replacement person shall be appointed, subject to the Engineer's prior consent, and the Engineer shall be notified accordingly.

The Contractor's Representative shall, on behalf of the Contractor, receive instructions under Sub-Clause 3.3 [*Instructions of the Engineer*].

The Contractor's Representative may delegate any powers, functions and authority to any competent person, and may at any time revoke the delegation. Any delegation or revocation shall not take effect until the Engineer has received prior notice signed by the Contractor's Representative, naming the person and specifying the powers, functions and authority being delegated or revoked.

The Contractor's Representative and all these persons shall be fluent in the language for communications defined in Sub-Clause 1.4 [*Law and Language*].

The Contractor's Representative and all these persons shall also be fluent in the ruling language of the Contract. If the Contractor's Representative, or these persons, are not fluent in the ruling language of the Contract, the Contractor shall make a competent interpreter available during all working hours.

In case the Contractor's Representative fails to attend on Site on a daily basis, then the Engineer has the right to deduct the amount stated in the Appendix to Tender for every day of absence of the Contractor's Representative.

4.4 Subcontractors

The Contractor shall not subcontract the whole of the Works.

The Contractor shall be responsible for the acts or defaults of any Subcontractor, his agents or employees, as if they were the acts or defaults of the Contractor:

- (a) the Contractor shall not be required to obtain consent to suppliers of Materials, or to a subcontract for which the Subcontractor is named in the Contract or if the value of the subcontract is less than 5% of the Accepted Contract Amount;
- (b) the prior consent in writing, in accordance with Sub-Clause 1.3 [*Communications*] of the Engineer shall be obtained to other proposed Subcontractors;
- (c) the Contractor shall give the Engineer not less than 28 days' notice of the intended date of the commencement of each Subcontractor's work, and of the commencement of such work on the Site; and
- (d) each subcontract shall include provisions which would entitle the Employer to require the subcontract to be assigned to the Employer under Sub-Clause 4.5 [*Assignment of Benefit of Subcontract*] (if or when applicable) or in the event of termination under Sub-Clause 15.2 [*Termination by Employer*].
- (e) The Contractor shall ensure that all Subcontractors, specialist manufacturers, suppliers, and the like are aware of the full intent and importance of the Contract and its requirements.
- (f) If, in the opinion of the Engineer, a designated Subcontractor is incapable of carrying out the Works to the standard required by the Contract Documents, the Contractor shall, within a period of 14 days, put forward names of alternative Subcontractors. No extensions of time claims or

cost claims of any kind will be considered as a result of any delay or additional costs incurred by the Contractor due to his failure to receive the Engineer's approval of the proposed Subcontractors.

All subcontracts shall:

- (i) contain provisions giving the Contractor an unrestricted right on termination of the Contractor's employment under the Contract, to transfer and assign such subcontracts to the Employer or any transferee and assignee of the Employer at the request of the Employer; and
- (ii) If so requested by the Employer, allow the Contractor to assign the benefit of any guarantee or warranty from Subcontractors and Suppliers to the Employer or as the Employer may direct and shall not, after any such request, enter into any arrangement with any Subcontractor whereby the liability of any Subcontractor shall be reduced in any way which may prejudice the Employer's rights against such Subcontractor;
- (iii) contain provisions which are consistent with the Contractor's obligations under this Contract.

4.5 Assignment of Benefit of Subcontract

If a Subcontractor's or Supplier's obligations extend beyond the expiry date of the relevant Defects Notification Period and the Engineer, prior to this date, instructs the Contractor to assign the benefit of such obligations to the Employer, then the Contractor shall do so. Unless otherwise stated in the assignment, the Contractor shall have no liability to the Employer for the work carried out by the Subcontractor after the assignment takes effect.

4.6 Co-operation

The Contractor shall, as specified in the Contract or as instructed by the Engineer, allow appropriate opportunities for carrying out work to:

- (a) the Employer's Personnel
- (b) any other contractors employed by the Employer, and
- (c) the personnel of any legally constituted public authorities,

who may be employed in the execution on or near the Site of any work not included in the Contract.

The Contractor shall co-ordinate the Works with any and all other contractors employed by the Employer in the execution on or near the Site of any work not included in the Contract or of any contract which the Employer may or has entered into in connection with or ancillary to the Works. This co-ordination includes but is not limited to co-coordinating between the Construction Drawings and Shop Drawings of all disciplines, sequence of installations and priority of execution at interfaces. Should the Contractor incur any additional costs or suffer delay as a direct result of such co ordination, the Contractor shall be entitled to submit a claim for reimbursement of such costs with reasonable profit, and/or for an extension of time, in accordance with the provisions of the Contract.

If, under the Contract, the Employer is required to give the Contractor possession of any foundation, structure, plant or means of access in accordance with Contractor's Documents, the Contractor shall submit such documents to the Engineer in the time and manner stated in the Specification

4.7 Setting Out

The Contractor shall set out the Works in relation to original points, lines and levels of reference specified in the Contract or notified by the Engineer. The Contractor shall be responsible for the correct positioning of all parts of the Works, and shall rectify any error in the positions, levels, dimensions or alignment of the Works.

The Employer shall be responsible for any errors in these specified or notified items of reference, but

the Contractor shall use reasonable efforts to verify their accuracy before they are used.

If the Contractor suffers delay and/or incurs Cost from executing work was necessitated by an error in these items of reference, and an experienced contractor could not reasonably have discovered such error and avoided this delay and/or Cost, the Contractor shall give notice to the Engineer and shall be entitled subject to Sub-Clause 20.1 [*Contractor's Claims*] to:

- (a) an extension of time for any such delay, if completion is or will be delayed, under Sub-Clause 8.4 [*Extension of Time for Completion*], and
- (b) payment of any such Cost, which shall be included in the Contract Price.

After receiving this notice, the Engineer shall proceed in accordance with Sub-Clause 3.5 [*Determinations*] to agree or determine (i) whether and (if so) to what extent the error could not reasonably have been discovered, and (ii) the matters described in sub-paragraphs (a) and (b) above related to this extent.

4.8 Safety Procedures

The Contractor shall:

- (a) comply with all applicable regulations,
- (b) take care for the safety of all persons entitled to be on the Site,
- (c) use reasonable efforts to keep the Site and Works clear of unnecessary obstruction so as to avoid danger to these persons,
- (d) provide fencing, lighting, guarding and watching of the Works until completion and taking over under Clause 10 [*Employer's Taking Over*], and
- (e) provide any Temporary Works (including roadways, footways, guards and fences) which may be necessary, because of the execution of the Works, for the use and protection of the public and of owners and occupiers of adjacent land.

4.9 Quality Assurance

The Contractor shall institute a quality assurance system to demonstrate compliance with the requirements of the Contract. The system shall be in accordance with the details stated in the Contract. The Engineer shall be entitled to audit any aspect of the system.

Details of all procedures and compliance documents shall be submitted to the Engineer for information before each design and execution stage is commenced. When any document of a technical nature is issued to the Engineer, evidence of the prior approval by the Contractor himself shall be apparent on the document itself.

Compliance with the quality assurance system shall not relieve the Contractor of any of his duties, obligations or responsibilities under the Contract.

4.10 Site Data

The Employer shall have made available to the Contractor for his information, prior to the Base Date, all relevant data in the Employer's possession on sub-surface and hydrological conditions at the Site, including environmental aspects. The Employer shall similarly make available to the Contractor all such data which come into the Employer's possession after the Base Date. The Contractor shall be responsible for interpreting all such data.

To the extent which was practicable (taking account of cost and time), the Contractor shall be deemed to have obtained all necessary information as to risks, contingencies and other circumstances which may influence or affect the Tender or Works. To the same extent, the Contractor shall be deemed to have inspected and examined the Site, its surroundings, the above data and other available information, and to have been satisfied before submitting the Tender as to all relevant matters, including (without

limitation):

- (a) the form and nature of the Site, including sub-surface conditions,
- (b) the hydrological and climatic conditions,
- (c) the extent and nature of the work and Goods necessary for the execution and completion of the Works and the remedying of any defects,
- (d) the Laws, procedures and labour practices of the Country, and
- (e) the Contractor's requirements for access, accommodation, facilities, personnel, power, transport, water and other services.

No failure on the part of the Contractor to discover or foresee any condition, risk, contingency or circumstance (including but not limited to the presence of any contaminated land, any Environmental Contamination, any artificial things and structures both above and below ground and as the nature of the ground and sub-soil conditions, all natural physical conditions, all man-made and all other physical obstructions and all pollutants), whether the same ought reasonably to have been discovered or foreseen or not, shall entitle the Contractor to an addition to the Contract Price or to an extension to the Time for Completion. The Contractor shall not rely upon any survey, report (including but not limited to the Geotechnical Reports) or other document prepared by or on behalf of the Employer regarding any such matter and the Employer makes no representation or warranty as to the accuracy or completeness of any such survey, report or document. The Employer shall have no liability arising out of or in relation to any such survey, report (including but not limited to the Geotechnical Reports) or document or from any representation or statement, whether they were negligently or otherwise made, therein contained.

4.11 Sufficiency of the Accepted Contract Amount

The Contractor shall be deemed to:

- (a) have satisfied himself as to the correctness and sufficiency of the Accepted Contract Amount, and
- (b) have based the Accepted Contract Amount on the data, interpretations, necessary information, inspections, examinations and satisfaction as to all relevant matters referred to in Sub-Clause 4.10 *[Site Data]*.

Unless otherwise stated in the Contract, the Accepted Contract Amount covers all the Contractor's obligations under the Contract (excluding those under Provisional Sums, if any) and all things necessary for the proper execution and completion of the Works and the remedying of any defects.

4.12 Unforeseeable Physical Conditions

In this Sub-Clause, "physical conditions" means natural physical conditions and man-made and other physical obstructions and pollutants, which the Contractor encounters at the Site when executing the Works, including sub-surface and hydrological conditions but excluding climatic conditions.

If the Contractor encounters adverse physical conditions which he considers to have been Unforeseeable, the Contractor shall give notice to the Engineer within 7 days from the date any unforeseeable adverse physical condition has been encountered.

This notice shall describe the physical conditions, so that they can be inspected by the Engineer, and shall set out the reasons why the Contractor considers them to be Unforeseeable. The Contractor shall continue executing the Works, using such proper and reasonable measures as are appropriate for the physical conditions, and shall comply with any instructions which the Engineer may give. If an instruction constitutes a Variation, Clause 13 *[Variations and Adjustments]* shall apply.

If and to the extent that the Contractor encounters physical conditions which are Unforeseeable, give such a notice, and suffers delay and/or incurs Cost due to these conditions, the Contractor shall be

entitled subject to Sub-Clause 20.1 [*Contractor's Claims*] to:

- (a) an extension of time for any such delay, if completion is or will be delayed, under Sub-Clause 8.4 [*Extension of Time for Completion*], and
- (b) payment for any such Cost, fifty percent (50%) of which shall be included in the Contract Price (the balance percent of the Cost shall be borne by the Contractor).

If the Contractor fails to give timely notice of unforeseeable physical conditions in accordance with this Sub-Clause, his rights under sub-paragraphs (a) and (b) will be forfeited.

After receiving such notice and inspecting and/or investigating these physical conditions, the Engineer shall proceed in accordance with Sub-Clause 3.5 [*Determinations*] to agree or determine (i) whether and (if so) to what extent these physical conditions were Unforeseeable, and (ii) the matters described in sub-paragraphs (a) and (b) above related to this extent.

However, before additional Cost is finally agreed or determined under sub-paragraph (ii), the Engineer may also review whether other physical conditions in similar parts of the Works (if any) were more favourable than could reasonably have been foreseen when the Contractor submitted the Tender. If and to the extent that these more favourable conditions were encountered, the Engineer may proceed in accordance with Sub-Clause 3.5 [*Determinations*] to agree or determine the reduction in Cost which were due to these conditions, which may be included (as deductions) in the Contract Price and Payment Certificates. However, the net effect of all adjustments under sub-paragraph (b) and all these reductions, for all the physical conditions encountered in similar parts of the Works, shall not result in a net reduction in the Contract Price.

The Engineer may take account of any evidence of the physical conditions foreseen by the Contractor when submitting the Tender, which may be made available by the Contractor, but shall not be bound by any such evidence.

4.13 Rights of Way and Facilities

The Contractor shall bear all costs and charges for special and/or temporary rights-of-way which he may require, including those for access to the Site. The Contractor shall also obtain, at his risk and cost, any additional facilities outside the Site which he may require for the purposes of the Works.

4.14 Avoidance of Interference

The Contractor shall not interfere unnecessarily or improperly with:

- (a) the convenience of the public, or
- (b) the access to and use and occupation of all roads and footpaths, irrespective of whether they are public or in the possession of the Employer or of others.

The Contractor shall indemnify and hold the Employer harmless against and from all damages, losses and expenses (including legal fees and expenses) resulting from any such unnecessary or improper interference.

4.15 Access Route

The Contractor shall be deemed to have been satisfied as to the suitability and availability of access routes to the Site. The Contractor shall use reasonable efforts to prevent any road or bridge from being damaged by the Contractor's traffic or by the Contractor's Personnel. These efforts shall include the proper use of appropriate vehicles and routes.

Except as otherwise stated in these Conditions:

- (a) the Contractor shall (as between the Parties) be responsible for any maintenance which may be required for his use of access routes;
- (b) the Contractor shall provide all necessary signs or directions along access routes, and shall

obtain any permission which may be required from the relevant authorities for his use of routes, signs and directions;

- (c) the Employer shall not be responsible for any claims which may arise from the use or otherwise of any access route;
- (d) the Employer does not guarantee the suitability or availability of particular access routes; and
- (e) Costs due to non-suitability or non-availability, for the use required by the Contractor, of access routes shall be borne by the Contractor.

4.16 Transport of Goods

- (a) the Contractor shall give the Engineer not less than 21 days' notice of the date on which any Plant or a major item of other Goods will be delivered to the Site;
- (b) the Contractor shall be responsible for packing, loading, transporting, receiving, unloading, storing and protecting all Goods and other things required for the Works; and
- (c) the Contractor shall indemnify and hold the Employer harmless against and from all damages, losses and expenses (including legal fees and expenses) resulting from the transport of Goods, and shall negotiate and pay all claims arising from their transport.

4.17 Contractor's equipment

The Contractor shall be responsible for and shall provide all Contractor's Equipment including but without limitation means of transport within the Site (including temporary roadways), other materials and services necessary for the safety and security of persons and property, temporary stores, offices and other buildings or structures for Materials and/or Plants and for persons engaged in the Works, telephone, firefighting equipment and first aid equipment until the whole of the Works has been taken over sanitary and canteen facilities for the use of persons engaged in connection with the Works at the Site.

No Contractor's Equipment shall be connected to the Permanent Works without the prior written approval of the Employer. All temporary buildings, structures and equipment provided or used by the Contractor or the Employer at the Site shall be properly maintained and cleaned by the Contractor and the Contractor shall take all practicable steps to keep the Site tidy and safe during the execution of the Works.

When brought on to the Site, Contractor's Equipment shall be deemed to be exclusively intended for the execution of the Works. The Contractor shall not remove from the Site any major items of Contractor's Equipment without the consent of the Engineer. However, consent shall not be required for vehicles transporting Goods or Contractor's Personnel off Site.

Contractor's Equipment at Site shall be deemed to be the property of the Employer with effect from its arrival on the Site, This vesting of property shall not:

- (a) affect the responsibility or liability of the Employer,
- (b) prejudice the right of the Contractor to the sole use of the vested Contractor's Equipment for the purpose of the Works, or
- (c) affect the Contractor's responsibility to operate and maintain Contractor's Equipment.

The property in each item shall be deemed to revert in the Contractor when he is entitled either to remove it from the Site or to receive the Taking-Over Certificate for the Works, whichever occurs first.

4.18 Protection of the Environment

The Contractor shall take all reasonable steps to protect the environment (both on and off the Site) and to limit damage and nuisance to people and property resulting from pollution, noise and other results of

his operations.

The Contractor shall ensure that emissions, surface discharges and effluent from the Contract's activities shall not exceed the values indicated in the Specification, and shall not exceed the values prescribed by applicable laws.

4.19 Electricity, Water and Gas

The Contractor shall, except as stated below, be responsible for the provision of all power, water and other services he may require.

The Contractor shall be entitled to use for the purposes of the Works such supplies of electricity, water, gas and other services as may be available on the Site. The Contractor shall, at his risk and cost, provide any apparatus necessary for his use of these services and for measuring the quantities consumed.

The quantities consumed and the amounts due (at these prices) for such services shall be included in the Contract Price. The Employer shall not be liable to pay any additional costs regarding the Contractor's supply of electricity, water, gas and other services.

4.20 Employer's Equipment and Free-Issue Material

The Employer shall make the Employer's Equipment (if any) available for the use of the Contractor in the execution of the Works in accordance with the details, arrangements and prices stated in the Specification. Unless otherwise stated in the Specification:

- (a) the Employer shall be responsible for the Employer's Equipment, except that
- (b) the Contractor shall be responsible for each item of Employer's Equipment whilst any of the Contractor's Personnel is operating it, driving it, directing it or in possession of it.

The appropriate quantities and the amounts due (at such stated prices) for the use of Employer's Equipment shall be agreed or determined by the Engineer in accordance with Sub-Clause 3.5 *[Determinations]*. The Contractor shall pay these amounts to the Employer or the Employer may, at his sole discretion, deduct these amounts from any monies due or to become due to the Contractor.

The Employer shall, as per Annex I.a, and may at his sole discretion as per Annex I.b, supply, free of charge, the "free-issue materials" mentioned in Annex I attached to these Conditions. If the Employer will provide such items, they shall be provided at the Employer's risk and cost, at the time and place specified in the Contract. The Contractor shall then visually inspect them, and shall within 3 days give notice to the Engineer of any shortage, defect or default in these materials. Unless otherwise agreed by both parties, the Employer shall within a reasonable timeframe rectify the notified shortage, defect or default.

After this visual inspection, the free-issue materials shall come under the care, custody and control of the Contractor. The Contractor's obligations of inspection, care, custody and control shall not relieve the Employer of liability for any shortage, defect or default not apparent from a visual inspection.

4.21 Progress Reports

Monthly progress reports shall be prepared by the Contractor and submitted to the Engineer in Three copies. The first report shall cover the period up to the end of the first calendar month following the Commencement Date. Reports shall be submitted monthly thereafter, each within 5 days after the last day of the period to which it relates.

Reporting shall continue until the Contractor has completed all work, which is known to be outstanding at the completion date stated in the Taking-Over Certificate for the Works.

Each Report shall include:

- (a) charts and detailed descriptions of progress, including each stage of design (if any), Contractor's

Documents, procurement, manufacture, delivery to Site, construction, erection and testing; and including these stages for work by each nominated Subcontractor (as defined in Clause 5 [Nominated Subcontractors]);

- (b) Photographs showing the status of manufacture and of progress on the Site;
- (c) for the manufacture of each main item of Plant and Materials, the name of the manufacturer, manufacture location, percentage progress, and the actual or expected dates of:
 - (i) commencement of manufacture,
 - (ii) Contractor's inspections,
 - (iii) tests, and
 - (iv) shipment and arrival at the Site;
- (d) the details described in Sub-Clause 6.10 [*Records of Contractor's Personnel and Equipment*];
- (e) copies of quality assurance documents, test results and certificates of Materials;
- (f) list of notices given under Sub-Clause 20.1 [*Contractor's Claims*];
- (g) safety statistics, including details of any hazardous incidents and activities relating to environmental aspects and public relations;
- (h) comparisons of actual and planned progress, with details of any events or circumstances which may jeopardize the completion in accordance with the Contract, and the measures being (or to be) adopted to overcome delays;
- (i) an updated Programme (tracked against the Programme) for the Works which shows all changes to the critical path and all changes to the critical activities and all changes to the logic links and all changes to the Milestone Dates (if any);
- (j) any arising matters which may have a substantial effect on the Works;
- (k) the anticipated final costs of the Works; having made adjustment for all Variations issued under this Contract and any anticipated changes which could have been reasonably foreseen by the Contractor;
- (l) any Information outstanding from the Employer and/or the Employer's Representative;
- (n) progress with consents, permits and licenses;
- (o) all matters in relation to industrial relations, security and insurance;
- (p) project look ahead for procurement, engineering and construction works, as extracted from project programme.
- (q) Updates detailed Cash flow report in a form agreed by the Engineer and as per the requirements of Sub-clause 14.4 [*Cash Flow Estimate*].

If the contractor fails to submit the monthly report for two months from the commencement date, the Engineer may deploy an estimated value of the extract until the delayed reports are submitted.

4.22 Security of the Site

- (a) the Contractor shall be responsible for keeping unauthorised persons off the Site, and
- (b) authorised persons shall be limited to the Contractor's Personnel whose presence on Site is required for the carrying out of the Works and the Employer's Personnel; and to any other personnel notified to the Contractor, by the Employer or the Engineer, as authorised personnel of the Employer's other contractors on the Site;
- (c) the Contractor shall not permit other persons whose presence at Site is not necessary for the

execution of the Works or for the execution of other work on behalf of the Employer to enter the Site without the prior written consent of the Employer.

4.23 Contractor's Operations on Site

The Contractor shall confine his operations to the Site, and to any additional areas which may be obtained by the Contractor and agreed by the Engineer as working areas. The Contractor shall take all necessary precautions to keep Contractor's Equipment and Contractor's Personnel within the Site and these additional areas, and to keep them off adjacent land.

During the execution of the Works, the Contractor shall keep the Site free from all unnecessary obstruction, and shall store or dispose of any Contractor's Equipment or surplus materials. The Contractor shall clear away and remove from the Site any wreckage, rubbish and Temporary Works which are no longer required. In case the Contractor failed to remove from the Site any such rubbish, debris, wreckage, and Temporary Works which are no longer required, within 7 days from the Engineer's notice, then the Employer/Engineer is entitled to remove such debris at the Contractor's cost.

Upon the issue of a Taking-Over Certificate, the Contractor shall clear away and remove, from that part of the Site and Works to which the Taking-Over Certificate refers, all Contractor's Equipment, surplus material, wreckage, rubbish and Temporary Works. The Contractor shall leave that part of the Site and the Works in a clean and safe Condition. However, the Contractor may retain on Site, during the Defects Notification Period, such Goods as are required for the Contractor to fulfil obligations under the Contract.

4.24 Fossils

All fossils, coins, articles of value or antiquity, and structures and other remains or items of geological or archaeological interest found on the Site shall be placed under the care and authority of the Employer. The Contractor shall take reasonable precautions to prevent Contractor's Personnel or other persons from removing or damaging any of these findings.

The Contractor shall, upon discovery of any such finding, promptly give notice to the Engineer, who shall issue instructions for dealing with it. If the Contractor suffers delay and/or incurs cost from complying with the instructions, the Contractor shall give a further notice to the Engineer and shall be entitled subject to Sub-Clause 20.1 [*Contractor's Claims*] to:

- (a) extension of time for any such delay, if completion is or will be delayed under Sub-Clause 8.4 [*Extension of Time for Completion*], and
- (b) payment of any such Cost, which shall be included in the Contract Price.

After receiving this further notice, the Engineer shall proceed in accordance with Sub-Clause 3.5 [*Determinations*] to agree or determine these matters.

4.25 Product Warrantees

Before the date of the issuance of the Taking-Over Certificate of each section of the Works or part thereof, the Contractor shall provide the Employer with product warrantees in favour of the Employer for all significant items of plant and equipment installed as part of the Works as prescribed or required by the Contract Documents or at the reasonable discretion of the Engineer. The period of such warranties shall commence from the date of the Taking-Over Certificate.

The Employer shall be entitled to withhold the sum of 10% of the value of the goods to which the product warranty relates from any payment to be certified either as an Interim Payment under Sub-Clause 14.6 [*Issue of Interim Payment Certificate*] or as a Final Payment under Sub-Clause 14.11 [*Issue of Final Payment Certificate*] for each and every product warranty which has not been provided.

5. NOMINATED SUBCONTRACTORS

5.1 Definition of “nominated Subcontractor”

In the Contract, “nominated Subcontractor” means a Subcontractor:

- (a) who is stated in the Contract as being a nominated Subcontractor, or
- (b) whom the Engineer, under Clause 13 [*Variations and Adjustments*], instructs the Contractor to employ as a Subcontractor. In this case, the Contractor will be entitled to the percentage of the Nominated Subcontract’s Price specified in the Appendix to Tender. Annex II includes the items for which Nominated Subcontractors will be employed.

5.2 Objection to Nomination

The Contractor shall not be under any obligation to employ a nominated Subcontractor against whom the Contractor raises reasonable objection by notice to the Engineer as soon as practicable, with supporting particulars. An objection shall be deemed reasonable if it arises from (among other things) any of the following matters, unless the Employer agrees to indemnify the Contractor against and from the consequences of the matter:

- (a) there are reasons to believe that the Subcontractor does not have sufficient competence, resources or financial strength;
- (b) the subcontract does not specify that the nominated Subcontractor shall indemnify the Contractor against and from any negligence or misuse or Goods by the nominated Subcontractor, his agents and employees; or
- (c) the subcontract does not specify that, for the subcontracted work (including design, if any), the nominated Subcontractor shall:
 - (i) undertake to the Contractor such obligations and liabilities will enable the Contractor to discharge his obligations and liabilities under the Contract, and
 - (ii) indemnify the Contractor against and from all obligations and liabilities arising under or in connection with the Contract and from the consequences of any failure by the Subcontractor to perform these obligations or fulfil these liabilities.

5.3 Payments to nominated Subcontractors

The Contractor shall pay to the nominated Subcontractor the amounts, which the Engineer certifies to be due in accordance with the subcontract. These amounts plus other charges shall be included in the Contract Price in accordance with sub-paragraph (b) of Sub-Clause 13.5 [*Provisional Sums*], except as stated in Sub-Clause 5.4 [*Evidence of Payments*].

5.4 Evidence of Payments

Before issuing a Payment Certificate which includes an amount payable to a nominated Subcontractor, the Engineer may request the Contractor to supply reasonable evidence that the nominated Subcontractor has received all amounts due in accordance with previous Payment Certificates, less applicable deductions for retention or otherwise. Unless the Contractor:

- (a) submits this reasonable evidence to the Engineer, or
- (b)
 - (i) satisfies the Engineer in writing that the Contractor is reasonably entitled to withhold or refuse to pay these amounts, and
 - (ii) submits to the Engineer reasonable evidence that the nominated Subcontractor has been notified of the Contractor’s entitlement.

Then the Employer may (at his sole discretion) pay, direct to the nominated Subcontractor, part or all of such amounts previously certified (less applicable deductions) as are due to the nominated Subcontractor and for which the Contractor has failed to submit the evidence described in sub-

paragraphs (a) or (b) above. The Contractor shall then repay, to the Employer, the amount which the nominated Sub-contractor was directly paid by the Employer.

6. STAFF AND LABOUR

6.1 Engagement of Staff and Labour

Except as otherwise stated in the Specification, the Contractor shall make arrangements for the engagement of all staff and labour, local or otherwise, and for their payment, housing, feeding and transport.

6.2 Rates of wages and Conditions of Labour

The Contractor shall pay rates of wages, and observe conditions of labour, which are not lower than those established for the trade or industry where the work is carried out. If no established rates or conditions are applicable, the Contractor shall pay rates of wages and observe conditions which are not lower than the general level of wages and conditions observed locally by employers whose trade or industry is similar to that of the Contractor.

6.3 Persons in the Service of Employer

The Contractor shall not recruit, or attempt to recruit, staff and labour from amongst the Employer's Personnel.

6.4 Labour Laws

The Contractor shall comply with all the relevant labour laws applicable to the Contractor's Personnel, including laws relating to their employment, health, safety, welfare, immigration and emigration, and shall allow them all their legal rights.

The Contractor shall require his employees to obey all applicable laws, including those concerning safety at work.

6.5 Working Hours

No work shall be carried out on the Site on locally recognized days of rest, or outside the normal working hours stated in the Appendix to Tender, unless:

- (a) otherwise stated in the Contract,
- (b) the Engineer gives consent, or
- (c) the work is unavoidable, or necessary for the protection of life or property or for the safety of the Works, in which case the Contractor shall immediately advise the Engineer.

In the event of failure of the Contractor to complete the Works within the regular working hours, the Works may be continued during the night and/or locally recognized days of rest subject to the approval by the Engineer. In such cases, the incurred cost of the supervision utilized by the Employer and/or the Engineer will be borne by the Contractor and deducted by the Employer from the Interim Payment Certificates, and reimbursed to the Engineer.

6.6 Facilities for Staff and Labour

Except as otherwise stated in the Specification, the Contractor shall provide and maintain all necessary accommodation and welfare facilities for the Contractor's Personnel. The Contractor shall also provide facilities for the Employer's Personnel as stated in the Specification.

The Contractor shall not permit any of the Contractor's Personnel to maintain any temporary or permanent living quarters within the structures forming part of the Permanent Works.

6.7 Health and Safety

The Contractor shall at all times take all reasonable precautions to maintain the health and safety of the

Contractor's Personnel. In collaboration with local health authorities, the Contractor shall ensure that medical staff, first aid facilities, sick bay and ambulance service are available at all times at the Site and at any accommodation for Contractor's and Employer's Personnel, and that suitable arrangements are made for all necessary welfare and hygiene requirements and for the prevention of epidemics.

The Contractor shall appoint an accident prevention officer at the Site, responsible for maintaining safety and protection against accidents. This person shall be qualified for this responsibility, and shall have the authority to issue instructions and take protective measures to prevent accidents. Throughout the execution of the Works, the Contractor shall provide whatever is required by this person to exercise this responsibility and authority.

The Contractor shall send, to the Engineer, details of any accident as soon as practicable after its occurrence. The Contractor shall maintain records and make reports concerning health, safety and welfare of persons, and damage to property, as the Engineer may reasonably require.

Upon the Engineer's comment and/or approval of the safety programme in accordance with the Contract Documents, relevant standards and codes of practice, the Contractor shall, for the full term of this Contract, operate the safety programme, maintain accurate records of safety activities and accidents, and submit safety and accident reports to the Employer in the form approved by the Engineer. Comment on and/or approval of the Contractor's safety programme by the Engineer shall not relieve the Contractor from any of its obligations under this Contract.

6.8 Contractor's Superintendence

Throughout the execution of the Works, and as long thereafter as is necessary to fulfil the Contractor's obligations, the Contractor shall provide all necessary superintendence to plan, arrange, direct, manage, inspect and test the work.

Superintendence shall be given by a sufficient number of persons having adequate knowledge of the language for communications (defined in Sub – Clause 1.4 [*law and language*]) and of the operations to be carried out (including the methods and techniques required, the hazards likely to be encountered and methods of preventing accidents), for the satisfactory and safe execution of the Works.

The Contractor shall be responsible to ensure that his work coordinates and interfaces with the works of other contractors. He shall employ and provide for the duration of the Works a person technically qualified and approved by the Engineer and experienced in the field of coordination in connection with the Works.

6.9 Contractor's Personnel

The Contractor's Personnel shall be appropriately qualified, skilled and experienced in their respective trades or occupations. The Engineer may require the Contractor to remove (or cause to be removed) any person employed on the Site or Works, including the Contractor's Representative if applicable, who:

- (a) persists in any misconduct or lack of care,
- (b) carries out duties incompetently or negligently,
- (c) fails to conform with any provisions of the Contract, or
- (d) persists in any conduct which is prejudicial to safety, health, or the protection of the environment.

If appropriate, the Contractor shall then appoint (or cause to be appointed) a suitable replacement person.

6.10 Records of Contractor's Personnel and Equipment

The Contractor shall submit, to the Engineer, details showing the number of each class of Contractor's Personnel and of each type of Contractor's Equipment on the Site. Details shall be submitted each calendar month, in a form approved by the Engineer, until the Contractor has completed all work which

is known to be outstanding at the completion date stated in the Taking-Over Certificate for the Works.

6.11 Disorderly Conduct

The Contractor shall at all times take all reasonable precautions to prevent any unlawful, riotous or disorderly conduct by or amongst the Contractor's Personnel, and to preserve peace and protection of persons and property on and near the Site.

6.12 Measures against Insect and Pest Nuisance

The Contractor shall at all times take the necessary precautions to protect all staff and labor employed on Site from insect and pest nuisance, and to reduce their danger to health. The Contractor shall provide suitable prophylactics for the Contractor's Personnel and shall comply with all the regulations of the local health authorities, including use of appropriate insecticide.

6.13 Alcoholic Liquor or Drugs

The Contractor shall not import, sell, give, barter or otherwise dispose of any alcoholic liquor or drugs, or permit or allow importation, sale, gift, barter or disposal by Contractor's Personnel.

6.14 Festivals and Religious Customs

The Contractor shall respect the Country's recognized festivals, days of rest and religious or other customs.

7. PLANT, MATERIALS AND WORKMANSHIP

7.1 Manner of Execution

The Contractor shall carry out the manufacture of Plant, the production and manufacture of Materials, and all other execution of the Works:

- (a) in the manner (if any) specified in the Contract,
- (b) in a proper workmanlike and careful manner, in accordance with recognized good practice, and
- (c) with properly equipped facilities and non-hazardous Materials, except as otherwise specified in the Contract.

The Contractor will not vary, amend, add to or alter the Works, as described in the Contract Documents or any drawings or any other documents approved or commented upon by the Engineer including but without limitation the Contractor's Documents approved or commented upon by the Engineer, without first obtaining the prior written approval of the Employer (such approval shall not be unreasonably withheld or delayed where such variations, amendments or alterations do not detract from or materially alter the design, size, layout, appearance, form, function, substance or quality of the Works) provided always that in seeking the written approval of the Employer, the Contractor will provide to the Engineer adequate details of the proposed variation, amendment, addition or alteration including relevant performance and qualitative criteria in relation to any materials and highlighting on any relevant drawings the nature of the proposed variation, amendment, addition or alteration.

7.2 Samples

The Contractor shall submit the following samples of Materials, and relevant information, to the Engineer for consent prior to using the Materials in or for the Works:

- (a) manufacturer's standard samples of Materials and samples specified in the Contract, all at the Contractor's cost, and
- (b) additional samples instructed by the Engineer as Variation.

Each sample shall be labeled as to origin and intended use in the Works.

7.3 Inspection

The Employer's Personnel shall at all reasonable times :

- (a) have full access to all parts to the Site and to all places from which natural Materials are being obtained, and
- (b) during production, manufacture and construction (at the Site and elsewhere), be entitled to examine, inspect, measure and test the materials and workmanship, and to check the progress of manufacture of Plant and production and manufacture of Materials.

The Contractor shall give the Employer's Personnel full opportunity to carry out these activities, including providing access, facilities, permissions and safety equipment. No such activity shall relieve the Contractor from any obligation or responsibility.

The Contractor shall give notice to the Engineer whenever any work is ready and before it is covered up, put out of sight, or packaged for storage or transport. The Engineer shall then either carry out the examination, inspection, measurement or testing without unreasonable delay, or promptly give notice to the Contractor that the Engineer does not require to do so. If the Contractor fails to give the notice, he shall, if and when required by the Engineer, uncover the work and thereafter reinstate and make good, all at the Contractor's cost.

7.4 Testing

This Sub-Clause shall apply to all tests specified in the Contract or as required by the Engineer, other than the Tests after Completion (if any)

The Contractor shall provide all apparatus, assistance, documents and other information, electricity, equipment, fuel, consumables, instruments, labour, materials, and suitably qualified and experienced staff, as are necessary to carry out the specified tests efficiently. The Contractor shall agree, with the Engineer, the time and place for the specified testing of any Plant, Materials and other parts of the Works.

The Engineer may, under Clause 13 *[Variations and Adjustments]*, vary the location or details of specified tests, or instruct the Contractor to carry out additional tests. If these varied or additional tests show that the tested Plant, Materials or workmanship is not in accordance with the Contract, the cost of carrying out this 25% shall be borne by the Contractor, notwithstanding other provisions of the Contract.

The Engineer shall give the Contractor not less than 24 hours' notice of the Engineer's intention to attend the tests. If the Engineer does not attend at the time and place agreed, the Contractor may proceed with the tests, unless otherwise instructed by the Engineer, and the tests shall then be deemed to have been made in the Engineer's presence.

If the Contractor suffers delay and/or incurs Cost from complying with these instructions or as a result of a delay for which the Employer is responsible, the Contractor shall give notice to the Engineer and shall be entitled subject to Sub-Clause 20.1 *[Contractor's Claims]* to :

- (a) an extension of time for any such delay, if completion is or will be delayed, under Sub-Clause 8.4 *[Extension of Time for Completion]*, and
- (b) payment of any such Cost plus reasonable profit, which shall be included in the Contract Price.

After receiving this notice, the Engineer shall proceed in accordance with Sub-Clause 3.5 *[Determinations]* to agree or determine these matters.

The Contractor shall promptly forward to the Engineer duly certified reports of the tests. When the specified tests have been passed, the Engineer shall endorse the Contractor's test certificate, or issue a certificate to him, to that effect. If the Engineer has not attended the tests, he shall be deemed to have accepted the readings as accurate.

7.5 Rejection

If, as a result of an examination, inspection, measurement or testing, any Plant, Materials or workmanship is found to be defective or otherwise not in accordance with the Contract, the Engineer may reject the Plant, Materials or workmanship by giving notice to the Contractor, with reasons. The Contractor shall then promptly make good the defect and ensure that the rejected item complies with the Contract.

If the Engineer requires this Plant, Materials or workmanship to be retested, the tests shall be repeated under the same terms and conditions. If the rejection and retesting cause the Employer to incur additional costs, the Contractor shall pay these costs to the Employer.

7.6 Remedial Work

Notwithstanding any previous test or certification, the Engineer may instruct the Contractor to:

- (a) remove from the Site and replace any Plant or Materials which is not in accordance with the Contract,
- (b) remove and re-execute any other work which is not in accordance with the Contract, and
- (c) execute any work which is urgently required for the safety of the Works, whether because of an accident, unforeseeable event or otherwise.

The Contractor shall comply with the instruction with a reasonable time, which shall be the time (if any) specified in the instruction, or immediately if urgency is specified under sub-paragraph (c).

If the Contractor fails to comply with the instruction, the Employer shall be entitled to employ and pay other persons to carry out the work. Except to the extent that the Contractor would have been entitled to payment for the work, the Contractor shall pay to the Employer all costs arising from this failure.

7.7 Ownership of Plant and Materials

Each item of Plant and Materials shall, to the extent consistent with the Laws of the Country, become the property of the Employer at whichever is the earlier of the following times, free from liens and other encumbrances:

- (a) when it is delivered to the Site;
- (b) when the Contractor is entitled to payment of the value of the Plant and Materials under Sub-Clause 8.10 [*Payment for Plant and Materials in Event of Suspension*].

7.8 Royalties

Unless otherwise stated in the Specification, the Contractor shall pay all royalties, rents and other payments for:

- (a) natural Materials obtained from outside the Site, and
- (b) the disposal of material from demolitions and excavations and of other surplus material (whether natural or man-made), except to the extent that disposal areas within the Site are specified in the Contract.

7.9 Removal of Plant and/or Materials

No Plant and/or Materials shall be removed from the Site unless the Employer/Engineer has consented to their removal even in the following cases:

- (a) they are not in accordance with the Contract and are being removed for purposes of modification or replacement; or
- (b) in the case of bulk materials, the Employer has agreed that they are surplus to the requirements of the Works.

The property in all Plant and/or Materials finally removed from the Site in accordance with this Sub-Clause shall vest in the Contractor upon removal.

8. COMMENCEMENT, DELAYS AND SUSPENSION

8.1 Commencement of Work

The Commencement Date shall be the date of the Contractor has the Possession of the Site, received partial Advance Payment, whatever is later. However, the Engineering works shall commence upon receipt of the Issued for Construction (IFC) drawings from the Employer/Engineer. The Time for Completion shall be calculated starting from the Commencement Date. The Contractor shall commence mobilization after the signing of LOA and/or signing the agreement, what's ever is later.

The Contractor shall commence the execution of the Works based on the Commencement Date, and shall then proceed with the Works with due expedition and without delay.

8.2 Time for Completion

The Contractor shall complete the whole of the Works, and each Section (if any), within the Time for Completion for the Works or Section (as the case may be) as specified in the Appendix to Tender, including :

- (a) achieving the passing of the Tests on Completion, and
- (b) completing all work which is stated in the Contract as being required for the Works or Section to be considered to be completed for the purposes of taking- over under Sub-Clause 10.1 *[Taking Over of the Works and Sections]*.

8.3 Programme

The Contractor shall, within 14 days from the Commencement Date of the Contract produce a detailed work programme from the Commencement of the Works till the Completion of the Works indicating all activities required to be performed to complete the Project in time for the approval of the Engineer and The Contractor shall strictly adhere to the programme duly approved by the Engineer. Each programme shall include:

- (a) the order in which the Contractor intends to carry out the Works, including the anticipated timing of each stage of design (if any), Contractor's Documents, procurement, manufacture of Plant, delivery to Site, construction, erection and testing,
- (b) each of these stages for work by each nominated Subcontractor (as defined in Clause 5 [Nominated Subcontractors]), and Free Issue Material (as defined in Clause 4 [Employer's Equipment and Free-Issue Material])
- (c) the sequence and timing of inspections and tests specified in the Contract, and
- (d) The Contractor shall submit electronic copy of the format required by the Engineer of all the programmes together with a hard copy for review and approval of the Engineer. with supporting report which includes:
 - (i) a general description of the methods which the Contractor intends to adopt, and of the major stages, in the execution of the Works, and
 - (ii) details showing the Contractor's reasonable estimate of the number of each class of Contractor's Personnel and of each type of Contractor's Equipment, required on the Site for each major stage.
- e) In accordance with the overall programme, the Contractor shall submit to the Engineer in soft copy

together with a hard copy detailing the sequence in a form as required by the Engineer, predecessor or successor, the activity, early start, early finish, late start, late finish, the float, and the resources for each work involved inclusive of the planned cash flow. The Contractor shall keep the programme under constant review and on view in his site office and update on monthly basis or as per the requirement of the Engineer.

With the programme, the Contractor shall submit for the approval of the Engineer the arrangements and methods, including layout of construction plant, site logistics, safety precautions and all other information necessary for a comprehensive description of the methodology he proposes to adopt for the execution of the Works including estimated quantities and production rate, hours per shift, and major construction equipment.

The contractor shall submit the narrative report along with the program, including all required data to clarify the project sequence and any necessary details to explain the program (project introduction, method for construction, layout, Code, Activity ID, Calendar, etc.).

The Contractor shall submit to the Engineer monthly an updated detailed programme in an acceptable format based on the approved baseline programme for the works he intends to perform during the period. This programme should be updated for each day and reported to the Engineer. In addition, the Contractor shall present monthly progress reports with the methods to be used for compensating any possible delay, which may be evident. The programme should show all resources required including labour, equipment and materials.

After all Contract activities are completed; the Contractor shall submit an "as-built" programme showing actual start and finish dates for all activities and milestones.

Failure by the Contractor to submit the programme for approval and/or the failure to submit subsequent updates of the said programme as required shall constitute a default by the Contractor and the Engineer reserves the right to withhold any amount while recommending payment through the Interim Payment Certificates and/or any other measure the Engineer may deem fit.

Failure of the Contractor to comply with this sub-clause will be considered a cause of withholding any progress payments or termination for default, and the Contractor shall not be entitled to request an extension of Time for Completion.

If, at any time, it should appear to the Engineer that the actual progress of the Works does not conform to the programme to which consent has been given by the Engineer (or is presently under the consideration of the Engineer), the Contractor shall produce, within 14 days of being so requested by the Engineer, a recovery programme showing the actions and modifications to the approved programme necessary to ensure completion of the Works in accordance with Sub-clause 8.3 *[Programme]* and within the Time for Completion stated in the Appendix to Tender.

8.4 Extension of Time for Completion

The Contractor shall be entitled subject to Sub-Clause 20.1 *[Contractor's Claims]* to an extension of the Time for Completion if and to the extent that completion for the purposes of Sub-Clause 10.1 *[Taking Over of the Works and Sections]* is or will be delayed by any of the following causes but only to the extent that such causes are not in any way consequent upon or related to or necessitated by negligence, omission, default, breach of Contract or breach of statutory duty of the Contractor and/or the Contractor's Personnel:

- (a) a Variation (unless an adjustment to the Time for Completion has been agreed under Sub-Clause 13.3 *[Variation Procedure]*)
- (b) a cause of delay giving an entitlement to extension of time under a Sub-Clause of these Conditions,
- (c) exceptionally adverse climatic conditions: exceptionally is defined as exceeding the average over

the previous 15 years,

- (d) Unforeseeable shortage in the availability of personnel or Goods caused by epidemic except any pandemic that outbreaks before the date of the Contract Agreement or governmental actions, or
- (e) any delay, impediment or prevention caused by or attributable to the Employer, the Employer's Personnel, or the Employer's other contractors on the Site.

If the Contractor considers himself to be entitled to an extension of the Time for Completion, the Contractor shall give notice to the Engineer in accordance with Sub-Clause 20.1 [*Contractor's Claims*]. When determining each extension of time under Sub-Clause 20.1, the Engineer shall review previous determinations and may increase, but shall not decrease, the total extension of time.

In order for the Engineer to determine the amount of such extension, the Contractor shall prepare a Time Impact Analysis, for adjustment of the Time for Completion, unless otherwise approved by the Engineer.

Such Time Impact Analysis shall define the extent of adjustment and the basis thereof in a form acceptable to the Engineer and shall include:

- a. factual events cause and effect and activities that materially affect the critical path of the Works;
- b. identification of activities which require change; and
- c. an analysis of how float has been used to minimize the additional time required.

If the Contractor fails to notify and/or submit such information together with its notice within the time period stipulated in Sub-Clause 20.1 [*Contractor's Claims*], the Time for Completion shall not be extended and no claim for additional payment in relation thereto shall be allowed and the Employer shall be discharged from all liability in connection with the claim.

When determining any extension of Time for Completion under this Sub-Clause, the Engineer shall be entitled to take in account the effect of any omitted work by any Variation issued pursuant to Clause 13 [*Variations*].

8.5 Delays Caused by Authorities

If the following conditions apply, namely:

- (a) the Contractor has diligently followed the procedures laid down by the relevant legally constituted public authorities in the Country,
- (b) these authorities delay or disrupt the Contractor's work, and
- (c) the delay or disruption was Unforeseeable,

then this delay or disruption will be considered as a cause of delay under subparagraph (b) of Sub-Clause 8.4 [*Extension of Time for Completion*].

8.6 Rate of Progress

If, during the first 50% of the original duration of the Works:

- (a) actual progress is too slow to complete within the Time for Completion, and/or
- (b) progress has fallen (or will fall) behind the current programme under Sub-Clause 8.3 [programme],
- (c) The Engineer observes reluctance on the part of the Contractor to expedite the progress; and/or

- (d) failure of the Contractor to abide by the instructions of the Engineer; and/or
- (e) Contractor delay on the Works' critical path exceeds 10% of the Works' remaining duration, or more than 15% according to the Works' in time schedule Performance index (SPI).

other than as a result of a cause listed in Sub-clause 8.4 [*Extension of Time for Completion*], then the Engineer may instruct the Contractor to submit, under Sub-Clause 8.3 [*Programme*], a recovery program and supporting report describing the revised methods which the Contractor proposes to adopt in order to expedite progress and complete within the Time for Completion.

Unless the Engineer notifies otherwise, the Contractor shall adopt these revised methods, which may require increases in the working hours and/or in the numbers of Contractor's Personnel and/or Goods, at the risk and Cost of the Contractor. If these recovery methods cause the Employer to incur additional costs, the Contractor shall subject to Sub-Clause 2.5 [*Employer's Claims*] pay these costs to the Employer, in addition to delay damages (if any) under Sub-Clause 8.7 below.

If:

- (f) after two months from the Contractor's submission of the recovery programme, the Contractor's delay on the Works' critical path exceeds 15% of the Works' remaining duration, or more than 20% according to the Works' in time schedule Performance index (SPI)", and/or
- (g) In case any of the events described in sub-paragraphs (a) to (e) above occur, during the remaining 50 days of the original duration of the Works, then the Employer

Then without limiting the Employer's right to apply Liquidated damages under Sub-Clause 8.7 [*Delay Damages*] and notwithstanding his right to terminate the Contractor's employment, the Employer, upon his sole prerogative, might decide to step-in by managing the Works on behalf of the Contractor. Such undesirable situation might lead to the introduction of new staff, additional workforce, additional equipment. The Employer may also arrange to facilitate or complete the particular portion of work as may be necessary through other agencies (including any of the direct Subcontractors of the Contractor), the cost of which shall be adjusted from the monies due to the Contractor and the Contractor shall remain responsible for all the contractual liabilities.

8.7 Delay Damages

If the Contractor fails to comply with Sub-Clause 8.2 [*Time for Completion*], the Contractor shall pay delay damages to the Employer for this default. These delay damages shall be the sum stated in the Appendix to Tender, which shall be paid for every day which shall elapse between the relevant Time for Completion and the date stated in the Taking-Over Certificate. However, the total amount due under this Sub-Clause shall not exceed the maximum amount of delay damages (if any) stated in the Appendix to Tender.

These damages shall not relieve the Contractor from his obligation to complete the Works, or from any other duties, obligations or responsibilities which he may have under the Contract.

The said delay damages shall be computed as indicated in the Appendix to Tender. The Employer may, without prejudice to any other method of recovery, deduct the amount of such delay damages from any monies due or to become due to the Contractor. The payment or deduction of such amounts shall not relieve the Contractor from his obligation to complete the Works, or from any other of his obligations and liabilities under the Contract. The costs incurred by the Employer for the supervision of the Engineer during the time of delay shall be borne by the Contractor and shall be in the values stipulated in the contract between the Engineer and the Employer and its amendments (if any).

If the Employer decides not to apply delay damages once they are due, this decision does not waive the Employer's right from deducting such amount at any time until the payment of the amount certified in the Final Payment Certificate.

8.8 Suspension of Work

The Engineer may at any time instruct the Contractor to suspend progress of part or all of the Works. During such suspension, the Contractor shall protect, store and secure such part or the Works against any deterioration, loss or damage.

The Engineer may also notify the cause for the suspension. If and to the extent that the cause is notified and is the responsibility of the Contractor (including but not limited to neglect or default or omission on the part of the Contractor or weather conditions or necessary for the proper execution or safety of any part or the whole of the Works), the following Sub-Clauses 8.9, 8.10 and 8.11 shall not apply.

8.9 Consequences of Suspension

If the Contractor suffers delay and/or incurs Cost from complying with the Engineer's instructions under Sub-Clause 8.8 [*Suspension of Work*] and/or from resuming the work, the Contractor shall give notice to the Engineer and shall be entitled subject to Sub-Clause 20.1 [*Contractor's Claims*] to:

- (a) an extension of time for any such delay, if completion is or will be delayed, under Sub-Clause 8.4 [*Extension of Time for Completion*], and
- (b) payment of any such Cost, which shall be included in the Contract Price provided that the Contractor has taken all reasonable steps to minimize such Cost and has maintained full contemporaneous records of such Cost.

After receiving this notice, the Engineer shall proceed in accordance with Sub-Clause 3.5 [*Determinations*] to agree or determine these matters.

The Contractor shall not be entitled to an extension of time for, or to payment of the Cost incurred in, making good the consequences of the Contractor's faulty design, workmanship or materials, or of the Contractor's failure to protect, store or secure in accordance with Sub-Clause 8.8 [*Suspension of Work*].

8.10 Payment for Plant and Materials in Event of Suspension

The Contractor shall be entitled to payment of the value (as at the date of suspension) of Plant and/or Materials which have been delivered to Site or the incurred cost based on the submitted particular, approved by the Engineer, including only payment for storage of material on Site, if:

- (a) the work on Plant or delivery of Plant and/or Materials has been suspended for more than 28 days, and
- (b) the Contractor has marked the Plant and/or Materials as the Employer's property in accordance with the Engineer's instructions.

8.11 Prolonged Suspension

If the suspension under Sub-Clause 8.8 [*Suspension of Work*] has continued for more than 90 days, the Contractor may request the Engineer's permission to proceed. If the Engineer does not give permission within 28 days after being requested to do so, the Contractor may, by giving notice to the Engineer, treat the suspension as an omission under Clause 13 [*Variations and Adjustments*] of the affected part of the Works. If the suspension affects the whole of the Works, the Contractor may give notice of termination under Sub-Clause 16.2 [*Termination by Contractor*].

8.12 Resumption of Work

After the permission or instruction to proceed is given, the Contractor and the Engineer shall jointly examine the Works and the Plant and Materials affected by the suspension. The Contractor shall make good any deterioration or defect in or loss of the Works or Plant or Materials, which has occurred during the suspension.

9 TESTS ON COMPLETION

9.1 Contractor's Obligations

The Contractor shall carry out the Tests on Completion in accordance with this Clause and Sub-Clause 7.4 [Testing], after providing the documents in accordance with sub-paragraph (d) of Sub-Clause 4.1 [Contractor's General Obligations].

The Contractor shall give to the Engineer not less than 21 days' notice of the date after which the Contractor will be ready to carry out each of the Tests on Completion. Unless otherwise agreed, Tests on Completion shall be carried out within 14 days after this date, on such day or days as the Engineer shall instruct.

In considering the results of the Tests on Completion, the Engineer shall make allowances for the effect of any use of the Works by the Employer on the performance or other characteristics of the Works. As soon as the Works, or a Section, have passed any Tests on Completion, the Contractor shall submit a certified report of the results of these to the Engineer.

The Contractor shall forthwith forward to the Engineer duly certified copies of the results of all of the Tests on Completion. As soon as the Works, or a Section, have passed each of the Tests on Completion described in the Contract Documents and the performance tests to demonstrate that the Works conform to the criteria set out in this Contract.

9.2 Delayed Tests

If the Tests on Completion are being unduly delayed by the Employer, Sub-Clause 7.4 [Testing] (fifth paragraph) and/or Sub-Clause 10.3 [Interference with Tests on Completion] shall be applicable.

If the Tests on Completion are being unduly delayed by the Contractor, the Engineer may by notice require the Contractor to carry out the Tests within 14 days after receiving the notice. The Contractor shall carry out the Tests on such day or days within that period as the Contractor may fix and of which he shall give notice to the Engineer.

If the Contractor fails to carry out the Tests on Completion within the period of 21 days, the Employer's Personnel may proceed with the Tests at the risk and cost of the Contractor. The Tests on Completion shall then be deemed to have been carried out in the presence of the Contractor and the results of the Tests shall be accepted as accurate.

For any tests before the Taking-Over Certificate (including for the avoidance of doubt the Tests on Completion), the Contractor shall provide specialist engineers to control the Works and supervise the tests and engineers to maintain the Works.

9.3 Retesting

If the Works, or a Section, fail to pass the Tests on Completion, Sub-Clause 7.5 [Rejection] shall apply, and the Engineer or the Contractor may require the failed Tests, and Tests on completion on any related work, to be repeated under the same terms and conditions.

9.4 Failure to Pass Tests on Completion

If the Works, or a Section, fail to pass the Tests on Completion repeated under Sub-Clause 9.3 [Retesting], the Engineer shall be entitled to :

- (a) order further repetition to Tests on Completion under Sub-Clause 9.3;
- (b) if the failure deprives the Employer of substantially the whole benefit of the Works or Section, reject the Works or Sections (as the case may be), in which event the Employer shall have the same remedies as are provided in sub-paragraph (c) of Sub-Clause 11.4 [Failure to remedy Defects]; or
- (c) issue a Taking-Over Certificate, if the Employer so requests.

In the event of sub-paragraph (c), the Contractor shall proceed in accordance with all other obligations under the Contract, and the Contract Price shall be reduced by such amount as shall be appropriate to

cover the reduced value to the Employer as a result of this failure. Unless the relevant reduction for this failure is stated (or its method of calculation is defined) in the Contract, the Employer may require the reduction to be (i) agreed by both Parties (in full satisfaction of this failure only) and paid before this Taking-Over Certificate is issued, or (ii) determined and paid under Sub-Clause 3.5 [*Determinations*].

10. EMPLOYER'S TAKING OVER

10.1 Taking Over of the Works and Sections

Except as stated in Sub-Clause 9.4 [*Failure to Pass Tests on Completion*], the Works shall be taken over by the Employer when (i) the Works have been completed in accordance with the Contract, including the matters described in Sub-Clause 8.2 [*Time for Completion*] and except as allowed in subparagraph (a) below, and (ii) a Taking-Over Certificate for the Works has been issued, or is deemed to have been issued in accordance with the Sub-Clause.

The Contractor shall apply by written notice to the Engineer for a Taking-Over Certificate not less than 14 days before the Works will, in the Contractor's opinion, be complete and ready for taking over. If the Works are divided into Sections, the Contractor shall similarly apply for a Taking-Over Certificate for each Section.

The Engineer shall, within 28 days after receiving the Contractor's application:

- (a) issue the Taking-Over Certificate to the Contractor, stating the date on which the Works or Section were completed in accordance with the Contract, except for any minor outstanding work and defects which will not substantially affect the use of the Works or Section for their intended purpose (either until or whilst this work is completed and these defects are remedied); or
- (b) reject the application, giving reasons and specifying the work required to be done by the Contractor to enable the Taking-Over Certificate to be issued. The Contractor shall then complete this work before issuing a further notice under this Sub-Clause.

If the Engineer fails either to issue the Taking – Over Certificate or to reject the Contractor's application within the period of 28 days, and if the Works or Section (as the case may be) are substantially in accordance with the Contract, the Taking-Over Certificate shall be deemed to have been issued on the last day of that period.

The Taking-Over Certificate (for the whole Works or Section, as the case may be) shall not be issued to the Contractor unless the following have been provided by the Contractor to the Engineer in accordance with the Contract Documents:

- i. four (4) copies of Operation and Maintenance Manuals, in the ruling language of this Contract and in such details to enable the Employer to operate, maintain, adjust and repair all parts of the Works.
- ii. six (6) copies and two (2) sets on CDs of all As-Built Drawings according to Sub-clause 4.1 [*Contractor's General Obligations*].

10.2 Taking Over of Parts of the Works

The Engineer may, at the sole discretion of the Employer, issue a Taking-Over Certificate for any part of the Permanent Works.

The Employer shall not use any part of the Works (other than as a temporary measure which is either specified in the Contract or agreed by both Parties) unless and until the Engineer has issued a Taking – Over Certificate for this part. However, if the Employer does use any part of the Works before the Taking-Over Certificate is issued:

- (a) the part which is used shall be deemed to have been taken over as from the date on which it is used,
- (b) the Contractor shall cease to be liable for care of such part as from this date, when responsibility

shall pass to the Employer, and

- (c) if requested by the Contractor, the Engineer shall issue a Taking-Over Certificate for this part.

After the Engineer has issued a Taking-Over Certificate for a part of the Works, the Contractor shall be given the earliest opportunity to take such steps as may be necessary to carry out any outstanding Tests on Completion. The Contractor shall carry out these Tests on Completion as soon as practicable before the expiry date of the relevant Defects Notification Period.

If the Contractor incurs Cost as a result of the Engineer taking over and/or using a part of the Works, other than such use as is specified in the Contract or agreed by the Contractor, the Contractor shall (i) give notice to the Engineer and (ii) be entitled subject to Sub-Clause 20.1 [*Contractor's Claims*] to payment of any such Cost, which shall be included in the Contract Price. After receiving this notice, the Engineer shall proceed in accordance with Sub-Clause 3.5 [*Determinations*] to agree or determine this Cost and profit.

If a Taking-Over Certificate has been issued for a part of the Works (other than a Section), the delay damages thereafter for completion of the remainder of the Works shall be reduced. Similarly, the delay damages for the remainder of the Section (if any) in which this part is included shall also be reduced. For any period of delay after the date stated in this Taking-Over Certificate, the proportional reduction in these delay damages shall be calculated as the proportion which the value of the part so certified bears to the value of the Works or Section (as the case may be) as a whole. The Engineer shall proceed in accordance with Sub-Clause 3.5 [*Determinations*] to agree or determine these proportions. The provisions of this paragraph shall only apply to the daily rate of delay damages under Sub-Clause 8.7 [*Delay Damages*], and shall not affect the maximum amount of these damages.

10.3 Interference with Tests on Completion

If the Contractor is prevented, for more than 14 days, from carrying out the Tests on Completion by a cause for which the Employer is responsible, the Employer shall be deemed to have taken over the Works or Section (as the case may be) on the date when the Tests on Completion would otherwise have been completed.

The Engineer shall then issue a Taking-Over Certificate accordingly, and the Contractor shall carry out the Tests on Completion as soon as practicable, before the expiry date of the Defects Notification Period. The Engineer shall require the Tests on Completion to be carried out by giving 14 days' notice and in accordance with the relevant provisions of the Contract.

If the Contractor suffers delay and/or incurs Cost as a result of this delay in carrying out the Tests on Completion, the Contractor shall give notice to the Engineer and shall be entitled subject to Sub-Clause 20.1 [*Contractor's Claims*] to:

- (a) an extension of time for any such delay, if completion is or will be delayed, under Sub-Clause 8.4 [*Extension of Time for Completion*], and
- (b) payment of any such Cost, which shall be included in the Contract Price.

After receiving this notice, the Engineer shall proceed in accordance with Sub-Clause 3.5 [*Determinations*] to agree or determine these matters.

10.4 Surfaces Requiring Reinstatement

Except as otherwise stated in a Taking-Over Certificate, a certificate for a Section or part of the Works shall not be deemed to certify completion of any ground or other surfaces requiring reinstatement.

11. DEFECTS LIABILITY

11.1 Completion of Outstanding Work and Remedying Defects

In order that the Works and Contractor's Documents, and each Section, shall at no cost to the Employer

be in the condition required by the Contract (fair wear and tear excepted) by the expiry date of the relevant Defects Notification Period or as soon as practicable thereafter, the Contractor shall :

- (a) complete any work which is outstanding on the dated stated in a Taking-Over Certificate, within such reasonable time as is instructed by the Engineer, and
- (b) execute all work required to remedy defects or damage, as may be notified by (or on behalf of) the Employer on or before the expiry date of the Defects Notification Period for the Works or Section (as the case may be).

If a defect appears or damage occurs, the Contractor shall be notified accordingly, by (or on behalf of) the Employer.

11.2 Cost of Remedying Defects

All work referred to in sub-paragraph (b) of Sub-Clause 11.1 *[Completion of Outstanding Work and Remedying Defects]* shall be executed at the risk and cost of the Contractor, if and to the extent that the work is attributable to :

- (a) any design for which the Contractor is responsible,
- (b) Plant, Materials or workmanship not being in accordance with the Contract, or
- (c) failure by the Contractor to comply with any other obligation.

If and to the extent that such work is attributable to any other cause, the Contractor shall be notified promptly by (or on behalf of) the Employer, and Sub-Clause 13.3 *[Variation Procedure]* shall apply.

11.3 Extension of Defects Notification Period

The Employer shall be entitled to an extension of the Defects Notification Period for the Works or a Section if and to the extent that the Works, Section or a major item of Plant (as the case may be, and after taking over) cannot be used for the purposes for which they are intended by reason of a defect or damage. However, a Defects Notification Period shall not be extended by more than two years.

If delivery and/or erection of Plant and/or Materials was suspended under Sub-Clause 8.8 *[Suspension of Work]*, the Contractor's obligations under this Clause shall not apply to any defects or damage occurring more than two years after the Defects Notification Period for the Plant and/or Materials would otherwise have expired.

11.4 Failure to Remedy Defects

If the Contractor fails to remedy any defect or damage within a reasonable time and maximum within 14 days, a date may be fixed by (or on behalf of) the Employer, on or by which the defect, or damages is to be remedied. The Contractor shall be given reasonable notice of this date.

If the Contractor fails to remedy the defect or damage by this notified date and this remedial work was to be executed at the cost of the Contractor under Sub-Clause 11.2 *[Cost of Remedying Defects]*, the Employer may (at his option) :

- (a) Carry out the work himself or by others, in a reasonable manner and at the Contractor's cost, and the Employer shall deduct such costs reasonably incurred in remedying the defect(s) or damage(s) from any monies due to the Contractor.
- (b) require the Engineer to agree or determine a reasonable reduction in the Contract Price in accordance with Sub-Clause 3.5 *[Determination]*; or
- (c) if the defect or damage deprives the Employer of substantially the whole benefit of the Works or any major part of the Works, terminate the Contract as a whole, or in respect of such major part which cannot be put to the intended use. Without prejudice to any other rights, under the Contract or otherwise, the Employer shall then be entitled to recover all sums paid for the Works or for such part (as the case may be), plus financing costs and the cost of dismantling the same,

clearing the Site and returning Plant and Materials to the Contractor.

11.5 Removal of Defective Work

If the defect or damage cannot be remedied expeditiously on the Site and the Employer gives consent, the Contractor may remove from the Site for the purposes of repair such items of Plant as are defective or damaged. This consent may require the Contractor to increase the amount of the Performance Security by the full replacement cost of these items, or to provide other appropriate security.

11.6 Further Tests

If the work of remedying of any defect or damage may affect the performance of the Works, the Engineer may require the repetition of any of the tests described in the Contract. The requirement shall be made by notice within 28 days after the defect or damage is remedied.

These tests shall be carried out in accordance with the terms applicable to the previous tests, except that they shall be carried out at the risk and cost of the Party liable, under Sub-Clause 11.2 [*Cost of Remedying Defects*], for the cost of the remedial work.

11.7 Right of Access

Save as may, in the opinion of the Engineer, be necessary for the purpose of remedying any defect or making any search required by the Engineer under Sub-Clause 11.8 [*Contractor to Search*] or finishing any work, which was not completed at the time of issuance of the Taking-Over Certificate, the Contractor shall not, and shall ensure that its employees, representative, agents, Subcontractors and visitors shall not access to any Section or Portion of the Works after the issuance of the Taking-Over Certificate relating thereto. Provided that access by the Contractor to any Section or Portion of the Works for the aforesaid purposes shall not be allowed when such access is inconsistent with the Employer's reasonable security restrictions.

11.8 Contractor to Search

The Contractor shall, if required by the Engineer, search for the cause of any defect, under the direction of the Engineer. Unless the defect is to be remedied at the cost of the Contractor under Sub-Clause 11.2 [*Cost of Remedying Defects*], the Cost of the search plus reasonable profit shall be agreed or determined by the Engineer in accordance with Sub-Clause 3.5 [*Determinations*] and shall be included in the Contract Price.

11.9 Performance Certificate

Performance of the Contractor's obligations shall not be considered to have been completed until the Engineer has issued the Performance Certificate to the Contractor, stating the date on which the Contractor completed his obligations under the Contract.

The Engineer shall issue the Performance Certificate within 28 days after the latest of the expiry dates of the Defects Notification Periods, as soon thereafter as the Contractor has supplied all the Contractor's Documents and completed and tested all the Works, including remedying any defects. A copy of the Performance Certificate shall be issued to the Employer.

Only the Performance Certificate shall be deemed to constitute acceptance of the Works. However partial TOC or substantial completion or any occupation by the Employer shall constitute acceptance of the relevant work

11.10 Unfulfilled Obligations

After the Performance Certificate has been issued, each Party shall remain liable for the fulfillment of any obligation which remains unperformed at that time. For the purposes of determining the nature and extent of unperformed obligations, the Contract shall be deemed to remain in force.

11.11 Clearance of Site

Upon receiving the Performance Certificate, the Contractor shall remove any remaining Contractor's Equipment, surplus material, wreckage, rubbish and Temporary Works from the Site.

If all these items have not been removed within 28 days after the Employer receives a copy of the Performance Certificate, the Employer may sell or otherwise dispose of any remaining items. The Employer shall be entitled to be paid the costs incurred in connection with, or attributable to, such sale or disposal and restoring the Site.

Any balance of the moneys from the sale shall be paid to the Contractor. If these moneys are less than the Employer's costs, the Contractor shall pay the outstanding balance to the Employer or, the Employer may deduct such outstanding balance from the Contract Price.

11.12 Progress of Remedying Defects

A weekly monitoring of the rectification works in progress shall be done by the Employer/Engineer to determine if the progress by the Contractor is satisfactory or not. In case of unsatisfactory progress determined by the Employer/Engineer, the Contractor shall be informed and if no noticeable change is observed by the Employer/Engineer in the subsequent week, the Employer will have the right to take alternative measure including appointing any other agency/any direct Subcontractor of the Contractor to complete the work and all the related cost of completing the work shall be deducted from the Contract Price.

12. MEASUREMENT AND EVALUATION

12.1 Works to be Measured

The Works shall be measured, and valued for payment, in accordance with this Clause.

Whenever the Engineer requires any part of the Works to be measured, reasonable notice shall be given to the Contractor's Representative, who shall:

- (a) promptly either attend or send another qualified representative to assist the Engineer in making the measurement, and
- (b) supply any particulars requested by the Engineer.

If the Contractor fails to attend or send a representative, the measurement made by (or on behalf of) the Engineer shall be accepted as accurate.

Except as otherwise stated in Contract, wherever any Permanent Works are to be measured from records, these shall be prepared by the Engineer. The Contractor shall, as and when requested, attend to examine and agree the records with the Engineer, and shall sign the same when agreed. If the Contractor does not attend, the records shall be accepted as accurate.

If the Contractor examines and disagrees the records, and/or does not sign them as agreed, then the Contractor shall give notice to the Engineer of the respects in which the records are asserted to be inaccurate. After receiving this notice, the Engineer shall review the records and either confirm or vary them. If the Contractor does not so give notice to the Engineer within 14 days after being requested to examine the records, they shall be accepted as accurate.

12.2 Method of Measurement

Except as otherwise stated in the Contract and notwithstanding local practice:

- (a) measurement shall be made of the net quantity of each item of the Permanent Works, and
- (b) the method of measurement is engineering method and shall be in accordance with the Bill of Quantities or other applicable Schedules.

12.3 Evaluation

Except as otherwise stated in the Contract, the Engineer shall proceed in accordance with Sub-Clause 3.5 *[Determinations]* to agree or determine the Contract Price by evaluating each item of work, applying the measurement agreed or determined in accordance with the above Sub-Clauses 12.1 and 12.2 and the appropriate rate or price for the item.

For each item of work, the appropriate rate or price for the item shall be the rate or price specified for such item in the Contract or, if there is no such item, specified for similar work. However, a new rate or price shall be appropriate for an item of work if:

- (i) the work is instructed under Clause 13 *[Variations and Adjustments]*,
- (ii) no rate or price is specified in the Contract for this item, and
- (iii) no specified rate or price is appropriate because the item of work is not of similar character, or is not executed under similar conditions, as any item in the Contract.

Each new rate or price shall be derived from any relevant rates or prices in the Contract, with reasonable adjustments to take account of the matters described in sub-paragraph (i), (ii) and (iii), as applicable. If no rates or prices are relevant for the derivation of a new rate or price, it shall be derived from the reasonable cost of executing the work, in addition to 25% of the Contractor's substantiated direct cost. The 25% shall include Contractor's indirect costs, overheads, profit, all taxes, income taxes, local taxes, VAT, incomes, charges, levies, social insurance, Custom duties and other taxes that may be levied in accordance with the laws and regulations of Egypt. The Contractor shall provide the Engineer a full substantiation including but not limited to, suppliers' offers and/or contracts and breakdown of the new rates or prices to the satisfaction of the Employer. In case the new item has been executed by a Subcontractor, then the Contractor shall be entitled to 20% of the Subcontract's Price upon the submission of the Subcontract as well as tax invoices to the Engineer. In the event of disagreement between the Parties about the valuation of any Variation, the Engineer shall make a fair determination in accordance with Sub-Clause 3.5 *[Determinations]*. Such determination shall be binding on both Parties. In case of the Contractor's submission of new fully substantiated documents to the satisfaction of the Engineer, the related price or rate might be re-assessed by the Engineer.

Until such time as an appropriate rate or price is agreed or determined, the Engineer shall determine a provisional rate or price for the purposes of Interim Payment Certificates.

13. VARIATIONS AND ADJUSTMENTS

13.1 Right to Vary

Variations may be initiated by the Engineer at any time prior to issuing the Taking-Over Certificate for the Works, either by an instruction or by a request for the Contractor to submit a proposal.

The Contractor shall execute and be bound by each variation, The Contractor shall immediately commence execution of the change order upon receipt from the Engineer. The appropriate value of the change order shall be subsequently agreed upon and approved by the owner without hindering the commencement of the execution of the change order works.

Each Variation may include:

- (a) changes to the quantities of any item of work included in the Contract (however, such changes do not necessarily constitute a Variation),
- (b) changes to the quality and other characteristics of any item of work,
- (c) changes to the levels, positions and/or dimensions of any part of the Works,
- (d) omission of any work,
- (e) any additional work, Plant, Materials or services necessary for the Permanent Works, including any associated Tests on Completion, boreholes and other testing and exploratory work, or

- (f) changes to the sequence or timing of the execution of the Works.

The Contractor shall not make any alteration and/or modification of the Permanent Works, unless and until the Engineer instructs or approves in writing a Variation.

If, due to variations, the Contract Price exceeds the Accepted Contract Amount by 20% or more, the Contractor shall:

- (a) increase the deducted amounts of the Performance Security in accordance with Sub-Clause 4.2 [*Performance Security*] by the same percentage; and
- (b) increase the amount of the Insurances provided in accordance with Clause 18 [*Insurance*] to cover, inter alia, the Contract Price.

No Payments shall be made by the Employer in accordance with Clause 14 [*Contract Price and Payment*] until the amended Insurances are submitted to and approved by the Engineer.

13.2 Value Engineering

The Employer shall be entitled to undertake value engineering, which will be implemented by the Contractor, as agreed in the Letter of Acceptance. The Contractor shall not be entitled to any extension of Time for Completion and/or additional costs, except as described in sub-paragraph (c) below due to the said value engineering.

The Contractor may, at any time, submit to the Engineer a written proposal which (in the Contractor's opinion) will, if adopted, (i) accelerate completion, (ii) reduce the cost to the Employer of executing, maintaining or operating the Works, (iii) improve the efficiency or value to the Employer of the completed Works, or (iv) otherwise be of benefit to the Employer.

The proposal shall be prepared at the cost of the Contractor and shall include the items listed in Sub-Clause 13.3 [*Variation Procedure*].

If a proposal, which is approved by the Engineer, includes a change in the design of part of the Permanent Works, then unless otherwise agreed by both Parties:

- (a) the Contractor shall design this part,
- (b) Sub-Clause 4.1 [*Contractor's General Obligations*] shall apply, and
- (c) if this change results in a reduction in the contract value of this part, the Engineer shall proceed in accordance with Sub-Clause 3.5 [*Determinations*] to agree or determine a fee, which shall be included in the Contract Price. This fee shall be the percentage stated in the Appendix to Tender of the difference between the following amounts:
 - (i) such reduction in contract value, resulting from the change, excluding adjustments under Sub-Clause 13.7 [*Adjustments for Changes in Legislation*] and Sub-Clause 13.8 [*Adjustments for Changes in Cost*], and
 - (ii) the reduction (if any) in the value to the Employer of the varied works, taking account of any reductions in quality, anticipated life or operational efficiencies.

However, if amount (i) is less than amount (ii), there shall not be a fee.

13.3 Variation Procedure

If the Engineer requests a proposal, prior to instructing a Variation, the Contractor shall respond in writing as soon as practicable, and maximum within 14 days, either by giving reasons why he cannot comply (if this is the case) or by submitting:

- (a) a description of the proposed work to be performed and a programme for its execution,

- (b) the Contractor's proposal for any necessary modifications to the programme according to Sub-Clause 8.3 [*Programme*] and to the Time for Completion, and
- (c) the Contractor's proposal for evaluation of the Variation including a detailed cost and price breakdown to such a level of detail together with such supporting information and documents as the Engineer may reasonably require so as to permit a detailed analysis for the purpose of the valuation of Variations.

The Engineer shall, as soon as practicable after receiving such proposal (under Sub-Clause 13.2 [*Value Engineering*] or otherwise), respond with approval, disapproval or comments. The Contractor shall not delay any work whilst awaiting a response.

Each instruction to execute a Variation, with any requirements for the recording of Costs, shall be issued by the Engineer to the Contractor, who shall acknowledge receipt.

Each Variation shall be evaluated in accordance with Clause 12 [*Measurement and Evaluation*], unless the Engineer instructs or approves otherwise in accordance with this Clause.

13.4 Payment in Applicable Currencies

All monetary statements, estimates and payments shall be made in Egyptian Pounds. The currency of account shall be Egyptian Pounds and all payments made in accordance with this Contract shall be in Egyptian Pounds.

13.5 Provisional Sums

Each Provisional Sum shall only be used, in whole or in part, in accordance with the Employer's instructions, and the Contract Price shall be adjusted accordingly. The total sum paid to the Contractor shall include only such amounts, for the work, supplies or services to which the Provisional Sum relates, as the Engineer shall have instructed. For each Provisional Sum, the Engineer may instruct:

- (a) work to be executed (including Plant, Materials or services to be supplied) by the Contractor and valued under Sub-Clause 13.3 [*Variation Procedure*]; and/or
- (b) Plant, Materials or services to be purchased by the Contractor, from a nominated Subcontractor (as defined in Clause 5 [*Nominated Subcontractors*]) or otherwise; and for which there shall be included in the Contract Price:
 - (i) the actual amounts paid (or due to be paid) by the Contractor, and
 - (ii) a sum for overhead charges and profit, calculated as a percentage of these actual amounts by applying the relevant percentage rate (if any) stated in the appropriate Schedule. If there is no such rate, the percentage rate stated in the Appendix to Tender shall be applied.

The Contractor shall, when required by the Engineer, produce quotations, invoices, vouchers and accounts or receipts in substantiation.

The Contractor shall not be entitled to any extension of Time for Completion and/or additional costs, in case the Employer did not use such Provisional Sums.

13.6 Daywork

For work of a minor or incidental nature, the Engineer may instruct that a Variation shall be executed on a daywork basis. The work shall then be valued in accordance with the Daywork Schedule included in the Contract, and the following procedure shall apply. If a Daywork Schedule is not included in the Contract, this Sub-Clause shall not apply.

Before ordering Goods for the work, the Contractor shall submit quotations to the Engineer. When applying for payment, the Contractor shall submit invoices, vouchers and accounts or receipts or such other similar information as may be necessary to prove the amounts paid by the Contractor for any Goods.

Except for any items for which the Daywork Schedule specifies that payment is not due, the Contractor shall deliver each day to the Engineer accurate statements in duplicate which shall include the following details of the resources used in executing the previous day's work:

- (a) the names, occupations and time of Contractor's Personnel,
- (b) the identification, type and time of the Contractor's Equipment and Temporary Works, and
- (c) the quantities and types of Plant and Materials used.

One copy of each statement will, if correct, or when agreed, be signed by the Engineer and returned to the Contractor. The Contractor shall then submit priced statements of these resources to the Engineer, prior to their inclusion in the next Statement under Sub-Clause 14.3 [*Application for interim Payment Certificates*].

Notwithstanding the foregoing, daywork shall be authorized only for the following reasons:

- (a) Work not covered by the Bill of Quantities,
- (b) In the event the Engineer issues a written instruction requesting daywork,
- (c) Remedial work not caused by the Contractor's error or omission, is required and is of an urgent nature for the progress of the Works.

The Contractor shall not be entitled to any payment pursuant to this Sub-Clause unless such quotations, invoices, vouchers, accounts, receipts or such other similar information as may be necessary to prove the amounts paid by the Contractor or statements required by this Sub-Clause have been fully and punctually rendered to the Engineer.

13.7 Adjustments for Changes in Legislation

The Contract Price shall be adjusted to take account of any increase or decrease in Cost resulting from a change in the Laws of Egypt (including the introduction of new Laws and the repeal or modification of existing Laws) or in the judicial or official governmental interpretation of such Laws, made after the Base Date, which affect the Contractor in the performance of obligations under the Contract.

If the Contractor suffers (or will suffer) delay and/or incurs (or will incur) additional Cost as a result of these changes in the Laws or in such interpretations, made after the Base Date, the Contractor shall give notice to the Engineer and shall be entitled subject to Sub-Clause 20.1 [*Contractor's Claims*] to :

- (a) an extension of time for any such delay, if completion is or will be delayed under Sub-Clause 8.4 [*Extension of Time for Completion*], and
- (b) payment of any such Cost, which shall be included in the Contract Price.

After receiving this notice, the Engineer shall proceed in accordance with Sub-Clause 3.5 [*Determinations*] to agree or determine these matters.

13.8 Adjustments for Changes in Cost

No adjustment to the Contract Price shall be made in respect of any rise or fall in the costs of labour, goods and/or materials, consumable stores or plant, water, electricity, or in the cost to the Contractor of shipping or air freight and other associated charges or any other matters affecting the cost of the execution of the Works, which may take place subsequent to the Base Date, except as provided in Sub-Clause 13.7 [*Adjustments for Changes in Legislation*] and except the "material base rate" items listed in

the Offer

14. CONTRACT PRICE AND PAYMENT

14.1 The Contract Price

- (a) The Contract Price is the amount stated in the Letter of Acceptance, and is subject to adjustments in accordance with the Contract;
- (b) the Contractor shall pay all taxes, duties and fees required to be paid by him under the Contract, and the Contract Price shall not be adjusted for any of these costs, except as stated in Sub-Clause 13.7 [*Adjustments for Changes in Legislation*];
- (c) any quantities which may be set out in the Bill of Quantities or other Schedule are estimated quantities and are not to be taken as the actual and correct quantities:
 - (i) of the Works which the Contractor is required to execute, or
 - (ii) for the purposes of Clause 12 [*Measurement and Evaluation*]; and
- (d) the Contractor shall submit to the Engineer, within 28 days after the Commencement Date, a proposed breakdown of each lump sum price in the Schedules. The Engineer may take account of the breakdown when preparing Payment Certificates; but shall not be bound by it.

14.2 Advance Payment

The Employer shall make an advance payment, as an interest-free loan for mobilization, when the Contractor submits a bank cheque along with signature validity certificate in accordance with this Sub-Clause. The total advance payment, the number and timing of instalments (if more than one), and the applicable currencies and proportions, shall be as stated in the Appendix to Tender.

Unless and until the Employer receives this bank cheque along with signature validity certificate or if the total advance payment is not stated in the Appendix to Tender, this Sub-Clause shall not apply.

The Engineer shall issue an Interim Payment Certificate for the first instalment after receiving a Statement (under Sub-Clause 14.3 [*Application for Interim Payment Certificates*]) and after the Employer receives: and after the Employer receives (i) the Performance Security in accordance with Sub-Clause 4.2 [*Performance Security*] and (ii) a bank cheque along with signature validity certificate in amounts and currencies equal to the advance payment. This bank cheque along with signature validity certificate shall be issued by an entity and from within a country (or other Jurisdiction) approved by the Employer and shall be in the form annexed to the Particular Conditions or in another form approved by the Employer.

The Contractor shall submit the bank cheque along with signature validity certificate within 7 days from the receipt of the Letter of Acceptance and ensure that the guarantee is valid and enforceable until the advance payment has been repaid, but its amount may be progressively reduced by the amount repaid by the Contractor as indicated in the Payment Certificates. If the terms of the guarantee specify its expiry date, and the advance payment has not been repaid by the date 28 days prior to the expiry date, the Contractor shall extend the validity of the bank cheque along with signature validity certificate until the advance payment has been repaid.

The advance payment shall be repaid through percentage deductions in Payment Certificates. Unless other percentages are stated in the Appendix to Tender:

- (a) deductions shall commence in the Payment Certificate in which the total of all certified interim payments (excluding the advance payment and deductions and repayments of retention) exceeds ten per cent (10%) of the Accepted Contract; and
- (b) deductions shall be made in the same proportions of the advance payment from the amount of

each Payment Certificate (excluding the advance payment and deductions and repayments of retention) in the currencies and proportions of the advance payment, until such time as the advance payment has been repaid.

If the advance payment has not been repaid prior to the issue of the Taking-Over Certificate for the Works or prior to termination under Clause 15 [*Termination by Employer*], Clause 16 [*Suspension and Termination by Contractor*] or Clause 19 [*Force Majeure*] (as the case may be), the whole of the balance then outstanding shall immediately become due and payable by the Contractor to the Employer.

No Advance Payment shall however be allowed on any varied work under Clause 13.

14.3 Application for Interim Payment Certificates

The Contractor shall submit a Statement in six copies to the Engineer after the end of each month, in a form approved by the Engineer, showing in detail the amounts to which the Contractor considers himself to be entitled, together with supporting documents which shall include the report on the progress during this month in accordance with Sub-Clause 4.21 [*Progress Reports*].

The Statement shall include the following items, as applicable, which shall be expressed in the various currencies in which the Contract Price is payable, in the sequence listed:

- (a) the estimated contract value of the Works executed and the Contractor's Documents produced up to the end of the month (including Variations but excluding items described in sub-paragraphs (b) to (g) below);
- (b) any amounts to be added and deducted for changes in legislation and changes in cost, in accordance with Sub-Clause 13.8 [*Adjustments for Changes in Cost*];
- (c) any amount to be deducted for retention, calculated by applying the percentage of retention stated in the Appendix to Tender to the total of the above amounts, until the amount so retained by the Employer reaches the limit of Retention Money (if any) stated in the Appendix to Tender;
- (d) any amounts to be added and deducted for the advance payment and repayments in accordance with Sub-Clause 14.2 [*Advance Payment*];
- (e) any amounts to be added and deducted for Plant and Materials in accordance with Sub-Clause 14.5 [*Plant and Materials intended for the Works*];
- (f) any other additions or deductions which may have become due under the Contract or otherwise, including those under Clause 20 [*Claims, Disputes and Arbitration*]; and
- (g) the deduction of amounts certified in all previous Payment Certificates.

14.4 Cash Flow Estimate

The Contractor shall submit a non-binding detailed Cash Flow estimate, in a format acceptable by the Engineer within 28 days after receiving the notice under Sub-Clause 8.1 [*Commencement of Works*]. The Cash Flow estimate shall be based on the programme submitted in accordance with Sub-Clause 8.3 [*Programme*] and shall include all payments to which the Contractor shall be entitled under the Contract. Revised estimates shall be submitted at quarterly intervals, until the Taking-Over Certificate has been issued for the Works.

14.5 Plant and Materials intended for the Works

If this Sub-Clause applies, Interim Payment Certificates shall include, under sub-paragraph (e) of Sub-Clause 14.3, (i) an amount for Plant and Materials which have been sent to the Site for incorporation in the Permanent Works, and (ii) a reduction when the contract value of such Plant and Materials is included as part of the Permanent Works under sub-paragraph (a) of Sub Clause 14.3 [*Application for Interim Payment Certificates*].

If the lists referred to in Sub-paragraph (b)(i) or (c)(i) below are not included in the Appendix to Tender, this Sub-Clause shall not apply.

The Engineer shall determine and Certify each addition if the following conditions are satisfied:

- (a) the Contractor has:
 - (i) kept satisfactory records (including the orders, receipts, Costs and use of Plant and Materials) which are available for inspection, and
 - (ii) submitted a statement of the Cost of acquiring and delivering the Plant and Materials to the Site, supported by satisfactory evidence;

and either:

- (b) the relevant Plant and Materials:
 - (i) are those listed in the Appendix to Tender for payment when shipped, and
 - (ii) have been shipped to the Country, en route to the Site, in accordance with the Contract; and
 - (iii) are described in a clean shipped bill of lading or other evidence of shipment, which has been submitted to the Engineer together with evidence of Payment of freight and insurance, any other documents reasonably required, and a bank guarantee in a form and issued by an entity approved by the Employer in amounts and currencies equal to the amount due under this Sub-Clause: this guarantee may be in a similar form to the form referred to in Sub-Clause 14.2 [Advance Payment] and shall be valid until Plant and Materials are properly stored on site and protected against loss, damage or deterioration;

Or

- (c) the relevant Plant and Materials:
 - (i) are those listed in the Appendix to Tender for payments when delivered to the Site, and
 - (ii) have been delivered to and are properly stored on the Site, are protected against loss, damage or deterioration, and appear to be in accordance with the Contract and are free from all encumbrances and have become the property of the Employer with effect from their arrival on Site.

The additional amount to be certified shall be the equivalent of the percentage stated in the Appendix to Tender of the Engineer's determination of the Cost of the Plant and Materials (including delivery to Site) provided that it shall not exceed 50% of the value of the respective item in the Bill of Quantities, taking account of the documents mentioned in this Sub-Clause and of the Contract value of the Plant and Materials.

The currencies for this additional amount shall be the same as those in which Payment will become due when the contract value is included under sub-paragraph (a) of Sub-Clause 14.3 [*Application for Interim Payment Certificates*]. At that time, the Payment Certificate shall include the applicable reduction which shall be equivalent to, and in the same currencies and proportion as, this additional amount for the relevant Plant and Materials.

The Contractor shall obtain the Engineer's approval in advance of the procurement and delivery of any items which have not been mutually agreed to in the lists referenced in this Sub-Clause 14.5 (b) (i) and 14.5 (c) (i) for which the Contractor may be seeking payment under this Sub-Clause. These items may be amended from time to time by the consent of the Parties. Approval shall be required only when the Contractor is actually seeking payment under Sub-Clause 14.5. Such approvals shall not be unreasonably withheld.

The Contractor shall incorporate provisions equivalent to those provided in this Sub-Clause 14.5 in

every subcontract it enters into with Subcontractors.

14.6 Issue of Interim Payment Certificates

No amount will be certified or paid until the Employer has received and approved the Performance Security. Thereafter, the Engineer shall, within the period stated in the Appendix to Tender after receiving a Statement and supporting documents, issue to the Employer an Interim Payment Certificate which shall state the amount which the Engineer fairly determines to be due, with supporting particulars.

However, prior to issuing the Taking-Over Certificate for the Works, the Engineer shall not be bound to issue an Interim Payment Certificate in an amount which would (after retention and other deductions) be less than the minimum amount of Interim Payment Certificates (if any) stated in the Appendix to Tender. In this event, the Engineer shall give notice to the Contractor accordingly.

An Interim Payment Certificate shall not be withheld for any other reason, although:

- (a) if anything supplied or work done by the Contractor is not in accordance with the Contract, the cost of rectification or replacement may be withheld until rectification or replacement has been completed; and/or
- (b) If the Contractor was or is failing to perform any work or obligation in accordance with the Contract, and had been so notified by the Engineer, the value of this work or obligation may be withheld until the work or obligation has been performed;
- (c) The Engineer may also decide not to certify payment as may be necessary in the Engineer's opinion, after consulting with Employer, to protect the Employer from loss because of:
 - i. Defective work not remedied;
 - ii. Failure of the Contractor to make payments to Subcontractors, or for labors, materials or equipment;
 - iii. Reasonable evidence that the Works shall not be completed within the Time for Completion, or
 - iv. Persistent failure to carry out the Works in accordance with the Contract Documents.

The Engineer may in any Payment Certificate make any correction or modification that should properly be made to any previous Payment Certificate. A Payment Certificate shall not be deemed to indicate the Engineer's acceptance, approval consent or satisfaction.

In case of the Contractor's failure to submit the Shop Drawings, As-Built Drawings, Programme, and Manuals in accordance with the approved programme under Sub-Clause 8.3 [*Programme*], the Engineer may withhold a percentage equal to 5% of such item's amount (included in the Interim Payment Certificate) until submitting the said documents in accordance with the programme. However, if the Contractor, even after withholding such amount, did not submit the said documents within a reasonable time, the Employer may appoint a consulting firm for the preparation of these documents at the Contractor's cost.

If the Performance Security, and/or the Contractor's Insurances require extension or renewal at any time, no further payments may be certified until the extended or renewed documents have been received and approved by the Engineer.

The Contractor shall pay social Insurance and VAT amounts due on the Interim Payment and submit evidence of payment to the Employer. No payments shall be released to the Contractor unless the above certificates for previous Interim Payment Certificates are submitted to the Employer.

Before releasing the amount certified in each Interim Payment Certificate to the Contractor which include amounts payable to Subcontractors and suppliers, the Engineer may request the Contractor to supply reasonable evidence that the subcontractor(s) and/or the supplier(s) received all amounts due in

accordance with previous Interim Payment Certificate(s) less applicable deductions for retention or otherwise.

The Employer shall have the right to make direct payments to Subcontractors and/or suppliers to whom the Contractor did not pay and deduct such amounts from the amounts payable to the Contractor, unless the Contractor satisfies the Engineer in writing that the Contractor is reasonably entitled to withhold the payment of such amounts.

14.7 Payment

The Employer shall pay to the Contractor:

- (a) the advance payment within 42 days after issuing the Letter of Acceptance or within 7 days after receiving the documents in accordance with Sub-Clause 4.2 [*Performance Security*] and Sub-Clause 14.2 [*Advance Payment*], whichever is earlier;
- (b) the amount certified in each Interim Payment Certificate within the period stated in the Appendix to Tender after the Engineer approves and certifies the Interim Payment Certificate; and
- (c) the amount certified in the Final Payment Certificate within the period stated in the Appendix to Tender after the Employer receives this Payment Certificate.

Payment of the amount due in each currency shall be made into the bank account, nominated by the Contractor, in the payment country (for this currency) specified in the Contract.

14.8 Delayed Payment

If the Contractor does not receive payment in accordance with Sub-Clause 14.7 [*Payment*], the Contractor shall be entitled to receive financing charges on the amount unpaid during the period of delay.

These financing charges shall be calculated at the percentage stated in the Appendix to Tender annually, and shall constitute the only remedy for the Contractor as consequences of the Employer's failure to release payments on time. The Contractor shall not be entitled to any extension of Time for Completion and its associated costs and expenses due to the Employer's delay in releasing payment, as aforesaid.

The Contractor shall only be entitled to these financing charges after issuing a formal notice to the Engineer, after 7 days from the payment due date including all supporting documents as requested by the Engineer.

14.9 Payment of Retention Money

When the Taking-Over Certificate has been issued for the Works, the first half of the Retention Money shall be certified by the Engineer for payment to the Contractor. If a Taking-Over Certificate is issued for a Section or part of the Works, a proportion of the Retention Money shall be certified and paid. This proportion shall be calculated by dividing the estimated contract value of the Section or part, by the estimated final Contract Price.

Promptly after the latest of the expiry dates of the Defects Notification Periods, the outstanding balance of the Retention Money shall be certified by the Engineer for payment to the Contractor. If a Taking-Over Certificate was issued for a Section, a proportion of the second half of the Retention Money shall be certified and paid promptly after the expiry date of the Defects Notification Period for the Section. This proportion shall be two-fifths (40%) of the proportion calculated by dividing the estimated contract value of the Section, by the estimated final Contract Price.

However, if any work remains to be executed under Clause 11 [*Defects Liability*], the Engineer shall be

entitled to withhold certification of the estimated cost of this work until it has been executed.

When calculating these proportions, no account shall be taken of any adjustments under Sub-Clause 13.7 [*Adjustments for Changes in Legislation*] and Sub-Clause 13.8 [*Adjustments for Changes in Cost*].

14.10 Statement at Completion

Within 84 days after receiving the Taking-Over Certificate for the Works, the Contractor shall submit to the Engineer six copies of a Statement at completion with supporting documents, in accordance with Sub-Clause 14.3 [*Application for Interim Payment Certificates*], showing:

- (a) the value of all work done in accordance with the Contract up to the date stated in the Taking-Over Certificate for the Works,
- (b) any further sums which the Contractor considers to be due, and
- (c) an estimate of any other amounts which the Contractor considers will become due to him under the Contract. Estimated amounts shall be shown separately in this Statement at completion.

The Engineer shall then certify in accordance with Sub-Clause 14.6 [*Issue of Interim Payment Certificates*].

14.11 Application for final Payment Certificate

Within 56 days after receiving the Performance Certificate, the Contractor shall submit, to the Engineer, six copies of a draft final statement with supporting documents showing in detail in a form approved by the Engineer:

- (a) the value of all work done in accordance with the Contract, and
- (b) any further sums which the Contractor considers to be due to him under the Contract or otherwise.

If the Engineer disagrees with or cannot verify any part of the draft final statement, the Contractor shall submit such further information as the Engineer may reasonably require and shall make such changes in the draft as may be agreed between them. The Contractor shall then prepare and submit to the Engineer the final statement as agreed. This agreed statement is referred to in these Conditions as the "Final Statement".

However, if, following discussions between the Engineer and the Contractor and any changes to the draft final statement which are agreed, it becomes evident that a dispute exists, the Engineer shall deliver to the Employer (with a copy to the Contractor) an Interim Payment Certificate for the agreed parts of the draft final statement. Thereafter, if the dispute is finally resolved under Sub-Clause 20.4 [*Obtaining Dispute Adjudication Board's Decision*] or Sub-Clause 20.5 [*Amicable Settlement*], the Contractor shall then prepare and submit to the Employer (with a copy to the Engineer) a Final Statement.

14.12 Discharge

When submitting the Final Statement, the Contractor shall submit a written discharge which confirms that the total of the Final Statement represents full and final settlement of all moneys due to the Contractor under or in connection with the Contract. This discharge may state that it becomes effective when the Contractor has received the Performance Security and the outstanding balance of this total, in which event the discharge will be effective on such date.

14.13 Issue of final Payment Certificate

Within 28 days after receiving the Final Statement and written discharge in accordance with Sub-Clause 14.11 [*Application for Final Payment Certificate*] and Sub-Clause 14.12 [*Discharge*], the Engineer shall issue, to the Employer, the Final Payment Certificate which shall state:

- (a) the amount which is finally due, and
- (b) after giving credit to the Employer for all amounts previously paid by the Employer and for all sums to which the Employer is entitled, the balance (if any) due from the Employer to the Contractor or from the Contractor to the Employer, as the case may be.

If the Contractor has not applied for a Final Payment Certificate in accordance with Sub-Clause 14.11 *[Application for Final Payment Certificate]* and Sub-Clause 14.12 *[Discharge]*, the Engineer shall request the Contractor to do so. If the Contractor fails to submit an application within a period of 28 days, the Engineer shall issue the Final Payment Certificate for such amount as he fairly determines to be due.

The Final Payment Certificate shall not be paid unless the Contractor has:

- (i) furnished a statement approved by its auditor certifying that all claims by his subcontractor(s) have been settled.
- (ii) issued a social insurance clearance certificate issued by the competent social insurance authority, and
- (iii) issued a clearance from tax authorities evidencing the payment of labor income taxes due under the laws of the Arab Republic of Egypt and customs regularization of all imported shipments.

14.14 Cessation of Employer's Liability

The Employer shall not be liable to the Contractor for any matter or thing under or in connection with the Contract or execution of the Works, except to the extent that the Contractor shall have included an amount expressly for it:

- (a) in the Final Statement and also
- (b) (except for matters or things arising after the issue of the Taking-Over Certificate for the Works) in the Statement at completion described in Sub-Clause 14.10 *[Statement at Completion]*.

However, this Sub-Clause shall not limit the Employer's liability under his indemnification obligations, or the Employer's liability in any case of fraud, deliberate default or reckless misconduct by the Employer.

14.15 Currencies of Payment

The Contract Price shall be paid in the currency stated in the Appendix to Tender.

14.16 Corrections of Interim Payment Certificates

The Engineer may make any correction or modification to any previous Interim Payment Certificate which have been issued by him and shall have the authority, if any work is not being carried out to his satisfaction, to omit or reduce the value of such work in any Interim Payment Certificate.

Without limiting the Engineer's power under this Sub-Clause, the Engineer shall have the power to reduce the value of any Interim Payment Certificate if, in his opinion, the Contractor is not executing his obligations with regard to the following:

- i. Provision of shop drawings, samples and the like,
- ii. Provision of revised programmes, cash flow estimates as per Sub-Clause 8.3 *[Programme]* and 14.4 *[Cash Flow Estimate]*.
- iii. Safety and security measures stipulated in the Contract Documents,
- iv. Provision or renewal of insurances as per Clause 18 *[Insurance]*.
- v. Reasonable evidence that the Works shall not be completed within the Time for Completion.

- vi. Provision of temporary facilities for the Employer and the Engineer.

In case the Contractor does not take, within a reasonable period, the necessary corrective measures to eliminate the reasons for the Engineer's reduction as stated in this Sub-Clause, the Employer may, without prejudice to any other rights under the Contract or otherwise, withhold payments due or to become due to the Contractor until the said measures have been taken by the Contractor to the satisfaction of the Engineer.

15. TERMINATE BY EMPLOYER

15.1 Notice to Correct

If the Contractor fails to carry out any obligation under the Contract, the Engineer may be notice require the Contractor to make good the failure and to remedy it within a specified reasonable time.

15.2 Termination by Employer

The Employer shall be entitled to terminate the Contract without the need for legal summons or notices, court bailiffs, judicial action or verdict if the Contractor:

- (a) fails to comply with Sub-Clause 4.2 [*Performance Security*] or with a notice under Sub-Clause 15.1 (*Notice to Correct*),
- (b) abandons the Works or otherwise plainly demonstrates the intention not to continue performance of his obligations under the Contract,
- (c) without reasonable excuse fails:
 - (i) to proceed with the Works in accordance with Clause 8 [*Commencement, Delays and Suspension*], or
 - (ii) to comply with a notice issued under Sub-Clause 7.5 [*Rejection*] or Sub-Clause 7.6 [*Remedial Work*], Within 28 Days after receiving it,
- (d) subcontracts the whole of the Works or assigns the Contract without the required agreement,
- (e) becomes bankrupt or insolvent, goes into liquidation, has a receiving or administration order made against him, compounds with his creditors, or carries on business under a receiver, trustee or manager for the benefit of his creditors, or if any act is done or event occurs, which (under applicable Laws) has a similar effect to any of these acts or events, or
- (f) gives or offers to give (directly or indirectly) to any person any bribe, gift, gratuity, commission or other thing of value as an inducement or reward:
 - (i) for doing or forbearing to do any action in relation to the Contract, or
 - (ii) for showing or forbearing to show favour or disfavour to any person in relation to the Contract.

or if any of the Contractor's Personnel, agents or Subcontractors gives or offers to give (directly or indirectly) to any person any such inducement or reward as is described in this sub-paragraph

(f). However, lawful inducements and rewards to Contractor's Personnel shall not termination.
- g) becomes liable for delay damages in respect of a Section and/or the Works equal to or exceeding the maximum amount of delay damages as set out in Sub-Clause 8.7 [*Delay Damages*];
- h) Fails to comply with Clause 18 [*Insurance*];
- i) Fails to proceed with a Section or the Works with due expedition or is otherwise persistently in breach of its obligations under this Contract.
- j) Is in breach of a material obligation under this Contract.

k) Fails to notify the Employer of a material change in the ownership or control of the Contractor.

In any of these events or circumstances, the Employer may, upon giving 14 days' notice to the Contractor, terminate the Contract and expel the Contractor from the Site. However, in the case of subparagraph (e) or (f), the Employer may by notice terminate the Contract immediately.

The Employer's election to terminate the Contract shall not prejudice any other rights of the Employer, under the Contract or otherwise.

The Contractor shall then leave the Site and deliver any required Goods, all Contractor's Documents, and other design documents made by or for him, to the Engineer. However, the Contractor shall use his best efforts to comply immediately with any reasonable instructions included in the notice (i) for the assignment of any subcontract, and (ii) for the protection of life or property for the safety of the Works.

After termination, the Employer may complete the Works and/or arrange for any other entities to do so. The Employer and these entities may then use any Goods, Contractor's Documents and other design documents made by or on behalf of the Contractor.

The Employer shall be entitled not to release the Contractor's Equipment and Temporary Works, until final settlement. After the final settlement, The Employer shall then give notice that the Contractor's Equipment and Temporary Works will be released to the Contractor at or near the Site. The Contractor shall promptly arrange their removal, at the risk and cost of the Contractor. However, if by this time the Contractor has failed to make a payment due to the Employer, these items may be sold by the Employer in order to recover this payment. Any balance of the proceeds shall then be paid to the Contractor.

15.3 Valuation at Date of Termination

As soon as practicable after a notice of termination under Sub-Clause 15.2 *[Termination by Employer]* has taken effect, the Engineer shall proceed in accordance with Sub-Clause 3.5 *[Determinations]* to agree or determine the value of the Works, Goods and Contractor's Documents, and any other sums due to the Contractor for work executed in accordance with the Contract.

15.4 Payment after Terminate

After a notice of termination under Sub-Clause 15.2 *[Termination by Employer]* has taken effect, the Employer may :

- (a) withhold further payments to the Contractor until the costs of execution, completion and remedying of any defects, damages for delay in completion (if any), and all other costs incurred by the Employer, have been established, and/or
- (b) recover from the Contractor any losses and damages incurred by the Employer and any extra costs of completing the Works, after allowing for any sum due to the Contractor under Sub-Clause 15.3 *[Valuation at Date of Termination]*. After recovering any such losses, damages and extra costs, the Employer shall pay any balance to the Contractor.

15.5 Employer's Entitlement to Termination

The Employer shall be entitled to terminate the Contract, at any time for the Employer's convenience, by giving notice of such termination to the Contractor. The termination shall take effect 28 days after the later of the dates on which the Contractor receives this notice or the Employer returns the Performance Security. The Employer shall not terminate the Contract under this Sub-Clause in order to execute the Works himself or to arrange for the Works to be executed by another contractor.

After this termination, the Contractor shall proceed in accordance with Sub-Clause 16.3 *[Cessation of work and Removal of Contractor's Equipment]* and shall be paid in accordance with Sub-Clause 19.6 *[Optional termination, Payment and Release]*.

16. SUSPENSION AND TERMINATION BY CONTRACTOR

16.1 Termination by Contractor

The Contractor shall be entitled to terminate the Contract if:

- (a) the Engineer fails, within 84 days after receiving a statement and supporting documents, to issue the relevant Payment Certificate,
- (b) the Contractor does not receive the amount due under an Interim Payment Certificate within 112 days after the expiry of the time stated in Sub-Clause 14.7 *[Payment]* within which payment is to be made (except for deductions Claims applied by the Engineer, which have become due by the Contractor to the Employer),
- (c) the Employer substantially fails to perform his obligations under the Contract,
- (d) the Employer fails to comply with Sub-Clause 1.6 *[Contract Agreement]* or Sub-Clause 1.7 *[Assignment]*,
- (e) a prolonged suspension affects the whole of the Works as described in Sub-Clause 8.11 *[Prolonged Suspension]*, or
- (f) the Employer becomes bankrupt or insolvent, goes into liquidation, has a receiving or administration order made against him, compounds with his creditors, or carries on business under a receiver, trustee or manager for the benefit of his creditors, or if any act is done or event occurs which (under applicable laws) has a similar effect to any of these acts or events.

In any of these events or circumstances, the Contractor may, upon giving 14 days' notice to the Employer, terminate the Contract. However, in the case of sub-paragraph (f) or (g), the Contractor may by notice terminate the Contract immediately.

The Contractor's election to terminate the Contract shall not prejudice any other rights of the Contractor, under the Contract or otherwise.

16.2 Cessation of Work and Removal of Contractor's Equipment

After a notice of termination under Sub-Clause 15.5 *[Employer's Entitlement to Termination]*, Sub-Clause 16.1 *[Termination by Contractor]* or Sub-Clause 19.6 *[Optional Termination, Payment and Release]* has taken effect, the Contractor shall promptly:

- (a) cease all further work, except for such work as may have been instructed by the Engineer for the Protection of life or property or for the safety of the works,
- (b) hand over Contractor's Documents, Plant, Materials and other work, for which the Contractor has received payment, and
- (c) remove all other Goods from the Site, except as necessary for safety, and leave the Site;
- (d) refrain from taking any action that could significantly and intentionally hinder or prevent the Employer from proceeding with the Works in a timely and cost efficient manner,
- (e) Secure the cessation of further work by its Subcontractors and/or other Contractor's Personnel and in so far as possible such cessation shall be secured by the exercise by the Contractor of such powers of termination (subject to paragraph (f)) omission or cancellation as are available to it in the subcontracts;
- (f) comply immediately with any reasonable instructions of the Employer to assign the benefit of any subcontract and/or other transferable rights to the Employer.

16.3 Payment on Termination

After a notice to termination under Sub-Clause 16.2 *[Termination by Contractor]* has taken effect, the Employer shall promptly:

- (a) return the Performance Security to the Contractor,
- (b) pay the Contractor in accordance with Sub-Clause 19.6 [*Optional Termination, Payment and Release*].

17. RISK AND RESPONSIBILITY

17.1 Indemnities

The Contractor shall indemnify and hold harmless the Employer, the Employer's Personnel and their respective agents, against and from all claims, damages, losses and expenses (including legal fees and expenses) in respect of:

- (a) bodily injury, sickness, disease or death of person whatsoever arising out of or in the course of or by reason of the Contractor's design (if any), execution and completion of the Works and the remedying of any defects, unless attributable to any negligence, willful act or breach of the Contract by the Employer, the Employer's Personnel, or any of their respective agents, and
- (b) damage to or loss of any property, real or personal (other than the Works), to the extent that such damage or loss:
 - (i) arises out of or in the course of or by reason of the Contractor's design (if any), the execution and completion of the Works and the remedying of any defects, and.
 - (ii) is attributable to any negligence, willful act or breach of the Contract by the Contractor, the Contractor's Personnel, their respective agents, or anyone directly or indirectly employed by any of them

In the event that the Employer incurs any additional costs or obliged to pay any amount in respect of the incidents mentioned in sub-paragraphs (a) or (b) above, the Contractor shall indemnify the Employer for any extra cost or any amount paid in this regard. Moreover, the Employer shall be entitled to deduct these costs from any amounts due to the Contractor under this Contract. In addition, for the avoidance of doubt, the Parties agree that, in this case, the Contractor shall be held liable criminally and civilly and the Employer is absolved from any and all such liabilities.

The Employer shall indemnify and hold harmless the Contractor, the Contractor's Personnel, and their respective agents, against and from, all claims, damages, losses and expenses (including legal fees and expenses) in respect of (1) bodily injury, sickness, disease or death, which is attributable to any negligence, willful act or breach of the Contract by the Employer, the Employer's Personnel, or any of their respective agents, and (2) matters for which liability may be excluded from insurance cover, as described in sub-paragraphs (d)(i), (ii), and (iii) of Sub-Clause 18.3 [*Insurance Against Injury to Persons and Damage to Property*].

17.2 Contractor's Care of the Works

The Contractor shall take full responsibility for the care of the Works and Goods from the Commencement Date until the Taking-Over Certificate is issued (or is deemed to be issued under Sub-Clause 10.1 [*Taking Over of the Works and Sections*]) for the Works, when responsibility for the care of the Works shall pass to the Employer. If a Taking-Over Certificate is issued (or is so deemed to be issued) for any Section or part of the Works, responsibility for the care of the Section or part shall then pass to the Employer.

After responsibility has accordingly passed to the Employer, the Contractor shall take responsibility for the care of any work which is outstanding on the date stated in a Taking-Over Certificate, until this outstanding work has been completed.

If any loss or damage happens to the Works, Goods or Contractor's Documents during the period when the Contractor is responsible for their care, the Contractor shall rectify the loss or damage at the Contractor's risk and cost, so that the Works, Goods and Contractor's Documents conform with the

Contract.

The Contractor shall be liable for any loss or damage caused by any actions performed by the Contractor after a Taking-Over Certificate has been issued. The Contractor Shall also be liable for loss or damage which occurs after a Taking-Over Certificate has been issued and which arose from a previous event for which the Contractor was liable.

The Contractor shall be responsible for keeping safe and protecting the utilities within the road (if any) whether electrical cables, telephones, signs and any other utilities related to the Employer or otherwise, and shall be responsible for coordinating with the Employer and other related entities for the required protection.

The Contractor shall protect all buildings and/or foundations adjacent to the Site (if any), so that in case any harm or damage occurs thereto due to the Contractor's negligence, he shall be responsible for restoring them to their former condition at his own expense and risk.

17.3 Intellectual and Industrial Property Rights

In this Sub-Clause, "infringement" means an infringement (or alleged infringement) of any patent, registered design, copyright, trade mark, trade name, trade secret or other intellectual or industrial property right relating to the Works; and "claim" means a claim (or proceedings pursuing a claim) alleging an infringement.

Whenever a Party does not give notice to the other Party of any claim within 28 days of receiving the claim, the first Party shall be deemed to have waived any right to indemnity under this Sub-Clause.

The Employer shall indemnify and hold the Contractor harmless against and from any claim alleging an infringement which is or was:

- (a) an unavoidable result of the Contractor's compliance with the Contract, or
- (b) a result of any Works being used by the Employer:
 - (i) for a purpose other than that indicated by, or reasonably to be inferred from, the Contract, or
 - (ii) in conjunction with anything not supplied by the Contractor, unless such use was disclosed to the Contractor prior to the Base Date or is stated in the Contract.

The Contractor shall indemnify and hold the Employer harmless against and from any other claim which arises out of or in relation to (i) the manufacture, use, sale or import of any Goods, or (ii) any design for which the Contractor is responsible.

If a Party is entitled to be indemnified under this Sub-Clause, the indemnifying Party may (at its cost) conduct negotiations for the settlement of the claim, and any litigation or arbitration which may rise from it. The other Party shall, at the request and cost of the indemnifying Party, assist in contesting the claim. This other Party (and its Personnel) shall not make any admission which might be prejudicial to the indemnifying Party, unless the indemnifying Party failed to take over the conduct of any negotiations, litigation or arbitration upon being requested to do so by such other Party.

17.4 Limitation of Liability

Neither Party shall be liable to the other Party for loss of use of any Works, loss of profit, loss of any contract or for any indirect or consequential loss or damage which may be suffered by the other Party in connection with the Contract, other than under Sub-Clause 16.4 [*Payment on Termination*] and Sub-Clause 17.1 [*Indemnities*].

The Contractor shall be held responsible, and be liable, for a 10 years commencing from the date of issuance of the Performance Certificate, for the safety of the construction, and for the consequences of any errors, omissions, negligence, default or defect arising from the execution of the Works in

accordance with Article 651 of the Civil Law of the Arab Republic of Egypt. The Contractor shall indemnify the Employer for any loss or damage arising from such liability.

The approval of the Engineer, the issuance of the Defects Liability Certificate and the return of the Performance Security shall not in any way absolve or relieve the Contractor from any such obligation, responsibility or liability.

The total liability of the Contractor to the Employer, under or in connection with the Contract other than under Sub-Clause 4.20 [*Employer's Equipment and Free-Issue Material*], Sub-Clause 17.1 [*Indemnities*] and Sub-Clause 17.3 [*Intellectual and Industrial Property Rights*], shall not exceed the Contract Price.

This Sub-Clause shall not limit liability in any case of fraud, deliberate default or reckless misconduct by the defaulting Party.

18 INSURANCE

18.1 General Requirements for Insurances

In this Clause, "insuring party" means, for each type of insurance, the Party responsible for effecting and maintaining the insurance specified in the relevant Sub-Clause. For the purpose of this Clause, "Insuring Party" means the Contractor.

Wherever the Contractor is the insuring Party, each insurance shall be effected with insurers and in terms approved by the Employer. These terms shall be consistent with any terms agreed by both Parties before the date of the Letter of Acceptance. This agreement of terms shall take precedence over the provisions of this Clause.

If a policy is required to indemnify joint insured, the cover shall apply separately to each insured as though a separate policy had been issued for each of the joint insured. If a policy indemnifies additional joint insured, namely in addition to the insured specified in this Clause, (i) the Contractor shall act under the policy on behalf of these additional joint insured, except that the Employer shall act for Employer's Personnel, (ii) additional joint insured shall not be entitled to receive payments directly from the insurer or to have any other direct dealings with the insurer, and (iii) the insuring Party shall require all additional joint insured to comply with the conditions stipulated in the policy.

Each policy insuring against loss or damage shall provide for payments to be made in the currencies required to rectify the loss or damage. Payments received from insurers shall be used for the rectification of the loss or damage.

The relevant insuring Party shall, within the respective periods stated in the Appendix to Tender (calculated from the Commencement Date), submit to the other Party:

- (a) evidence that the insurances described in this Clause have been effected , and
- (b) copies of the policies for the insurances described in Sub-Clause 18.2 [*Insurance for Works and Contractor's Equipment*] and Sub-Clause 18.3 [*Insurance against injury to Persons and Damage to Property*].

When each premium is paid, the insuring party shall submit evidence of payment to the other Party. Whenever evidence or policies are submitted, the insuring party shall also give notice to the Engineer.

Each party shall comply with the conditions stipulated in each of the insurance policies. The insuring Party shall keep the insurers informed of any relevant changes to the execution of the Works and ensure that insurance is maintained in accordance with this Clause.

Neither Party shall make any material alteration to the terms of any insurance without the prior approval of the other Party. If an insurer makes (or attempts to make) any alteration the Party first by the insurer shall promptly give to the other Party.

If the insuring Party fails to effect and keep in force any of the insurances, it is required to effect and maintain under the Contract. or fails to provide satisfactory evidence and copies of policies in

accordance with this Sub-Clause the other Party may (at its option and without prejudice to any other right or remedy) effect insurance for the relevant coverage and pay the premiums due. The insuring Party shall pay the amount of these premiums to the other Party, and the Contract Price shall be adjusted accordingly.

Nothing in this Clause limits the obligations, liabilities or responsibilities of the Contractor or the Employer, under the other terms of the Contract or otherwise. Any amounts not insured or not recovered from the insurers shall be borne by the Contractor and/or the Employer in accordance with these obligations, liabilities or responsibilities. However, if the insuring party fails to effect and keep in force an insurance which is available and which it is required to effect and maintain under the Contract, and the other Party neither approves the omission nor effects insurance for the coverage relevant to this default, any moneys which should have been recoverable under this insurance shall be paid by the insuring Party.

Payments by one Party to the other Party shall be subject to Sub-Clause 20.1 [*Contractor's Claims*] as applicable.

The Contractor shall be liable for and shall indemnify the Employer against any expense, liability, loss, claim or proceedings whatsoever which the Employer may suffer or may incur as a result of not being able to recover fully under the terms of the joint names insurance policies under this Clause 18 to the extent that such inability giving rise to such expense, liability, loss, claim or proceedings is a direct result of any omission to provide material information, the provision of incorrect information or failure to comply with the conditions or warranties of the joint names insurance policies by the Contractor.

All policies of insurance that are to be taken out under this Contract in "Joint names" shall provide that the insurers have no right of recourse against any person named or recognized as an insured under it.

The insurance shall be a Construction All Risks (CAR) issued from an organization approved by the Employer, located in Cairo, Egypt, and in a form acceptable to the Employer.

18.2 Insurance for Works and Contractor's Equipment

The insuring Party shall insure the Works, Plant, Materials and Contractor's Documents for not less than the full reinstatement cost including the costs of demolition, removal of debris and professional fees and profit. This insurance shall be effective from the date by which the evidence is to be submitted under sub-paragraph (a) of Sub-Clause 18.1 [*General Requirements for Insurances*], until the date of issue of the Taking-Over Certificate for the Works.

The insuring Party shall maintain this insurance to provide cover until the date of issue of the Performance Certificate, for loss or damage for which the Contractor is liable arising from a cause occurring prior to the Taking-Over Certificate, and for loss or damage caused by the Contractor in the course of any other operations (including those under Clause 11 [*Defects Liability*]).

The insuring Party shall insure the Contractor's Equipment for not less than the full replacement value, including delivery to Site. For each item of Contractor's Equipment, the insurance shall be effective while it is being transported to the Site and until it is no longer required as Contractor's Equipment.

Insurances under this Sub-Clause:

- (a) shall be effected and maintained by the Contractor as insuring Party,
- (b) shall be in the joint names of the Parties, who shall be jointly entitled to receive payments from the insurers, payments being held or allocated between the Parties for the sole purpose of rectifying the loss or damage,
- (c) shall cover all loss and damage from any cause not listed below:
 - (i) war, hostilities (whether war be declared or not), invasion, act of foreign enemies.
 - (ii) rebellion, terrorism, revolution, insurrection, military or usurped power, or civil war, within

the Country,

- (iii) riot, commotion or disorder within the Country by persons other than the Contractor's Personnel and other employees of the Contractor and Subcontractors,
 - (iv) munitions of war, explosive materials, ionizing radiation or contamination by radio-activity, within the Country, except as may be attributable to the
 - (v) Contractor's use of such munitions, explosives, radiation or radio-activity, pressure waves caused by aircraft or other aerial devices travelling at sonic or supersonic speeds;
 - (vi) design of any part of the Works by the Employer's Personnel or by others for whom the Employer is responsible, and
 - (vii) any operation of the forces of nature which is Unforeseeable or against which an experienced contractor could not reasonably have been expected to have taken adequate preventative precautions.
- (d) shall also cover loss or damage from the following risks with deductibles per occurrence of not more than the amount stated in the Appendix to Tender:
- (viii) Limited to Egypt: pressure waves caused by aircraft or other aerial devices travelling at sonic or supersonic speeds,
 - (ix) any operation of the forces of nature against which an experienced contractor could not reasonably have been expected to take precautions.

may however exclude loss of, damage to and reinstatement of :

- (i) a part of the Works which is in a defective condition due to a defect in its design, materials or workmanship (but cover shall include any other parts which are lost or damaged as a direct result of this defective condition and not as described in sub-paragraph (ii) below),
- (ii) a part of the Works which is lost or damaged in order to reinstate any other part of the Works if this other part is in a defective condition due to a defect in its design, materials or workmanship,
- (iii) a part of the Works which has been taken over by the Employer, except to the extent that the Contractor is liable for the loss or damage, and
- (iv) Goods while than are not in the Country, subject to Sub-Clause 14.5 [*Plant and Materials intended for the works*].

If, more than one year after the Base Date, the cover described in sub-paragraph (d) above ceases to be available at commercially reasonable terms, the Contractor shall (as insuring party) give notice to the Employer, with supporting particulars. The Employer shall then (i) be entitled to payment of an amount equivalent to such commercially reasonable terms as the Contractor should have expected to have paid for such cover, and (ii) be deemed, unless he obtains the cover at commercially reasonable terms, to have approved the omission under Sub-Clause 18.1 [*General Requirements for Insurances*].

18.3 Insurance against Injury to Persons and Damage to Property

The insuring Party shall insure against each Party's liability for any loss, damage, death or bodily injury which may occur to any physical property (except things insured under Sub-Clause 18.2 [*Insurance for Works and Contractor's Equipment*]) or to any person (except persons insured under Sub-Clause 18.4 [*Insurance for Contractor's Personnel*]), which may arise out of the Contractor's performance of the Contract and occurring before the issue of the Performance Certificate.

This insurance shall be for a limit per occurrence of not less than the amount stated in the Appendix to Tender, with no limit on the number of occurrences. If an amount is not stated in the Appendix to

Tender, this Sub-Clause shall not apply.

The insurances specified in this Sub-Clause:

- (a) shall be effected and maintained by the Contractor as insuring Party,
- (b) shall be in the joint names of the Parties,
- (c) shall be extended to cover liability for all loss and damage to the Employer's property (except things insured under Sub-Clause 18.2) arising out of the Contractor's performance of the Contract.

The Contractor shall indemnify the Employer and every member, officer and employee thereof, the Engineer and the Engineer's Representative and every member of his staff and every other authorized person from any claim or demand from accident, injury, damage, loss and/or compensation of any kind whatsoever arising out of or in connection with all claims and demands which may be made against the Employer, for, or in respect of, or arising out of any failure by the Contractor in the performance of his obligations under any of the provisions of the Contract.

18.4 Insurance for Contractor's Personnel

The Contractor shall effect and maintain insurance against liability for claims, damages, losses and expenses (including legal fees and expenses) arising from injury, sickness, disease or death of any person employed by the Contractor or any other of the Contractor's Personnel.

The Employer and the Engineer shall also be indemnified under the policy of insurance, except that this insurance may exclude losses and claims to the extent that they arise from any act or neglect of the Employer or of the Employer's Personnel.

The insurance shall be maintained in full force and effect during the whole time that these personnel are assisting in the execution of the Works. For a Subcontractor's employees, the insurance may be effected by the Subcontractor, but the Contractor shall be responsible for compliance with this Clause.

18.5 Insurance Companies

In case payment has been made by the Employer for any loss or damage occurring to the Works, all amounts paid by the insurer under the All Risk Insurance policy effected pursuant to Sub-Clause 18.2 [*Insurance for Works and Contractor's Equipment*] shall be paid to the Employer.

Insurer of works must be a registered company in Egypt, subject to the approval of the Employer.

19. FORCE MAJEURE

19.1 Definition of Force Majeure

In this Clause, "Force Majeure" means an exceptional event or circumstance:

- (a) which is beyond Party's control,
- (b) which such Party could not reasonably have provided against before entering into the Contract,
- (c) which, having arisen, such Party could not reasonably have avoided or overcome, and
- (d) which is not substantially attributable to the other Party.

Force Majeure may include, but is not limited to, exceptional events or circumstances of the kind listed below, so long as conditions (a) to (d) above are satisfied

- (i) war, hostilities (whether war be declared or not), invasion, act of foreign enemies,
- (ii) rebellion, terrorism, revolution, insurrection, military or usurped power, or civil war,
- (iii) riot, commotion, disorder, strike or lockout by persons other than the Contractor's Personnel and other employees of the Contractor and Subcontractors,

- (iv) munitions of war, explosive materials, ionizing radiation or contamination by radio-activity, except as may be attributable to the Contractor's use of such munitions, explosive, radiation or radio-activity, and
- (v) natural catastrophes such as earthquake, hurricane, typhoon or volcanic activity.

19.2 Notice of Force Majeure

If a Party is or will be prevented from performing any of its obligations under the Contract by Force Majeure, then it shall give notice to the other Party of the event or circumstances constituting the Force Majeure and shall specify the obligations, the performance of which is or will be prevented. The notice shall be given within 14 days after the Party became aware, (or should have become aware), of the relevant event or circumstance constituting Force Majeure.

The Party shall, having given notice, be excused performance of such obligations for so long as such Force Majeure prevents it from performing them.

Notwithstanding any other provision of this Clause, Force Majeure shall not apply to obligations of either Party to make payments to the other Party under the Contract.

19.3 Duty to Minimize Delay

Each Party shall at all times use all reasonable endeavors to minimize any delay in the performance of the Contract as a result of Force Majeure.

A Party shall give notice to the other Party when it ceases to be affected by the Force Majeure.

19.4 Consequences of Force Majeure

If the Contractor is prevented from performing any of his obligations under the Contract by Force Majeure of which notice has been given under Sub-Clause 19.2 [*Notice of Force Majeure*], and suffers delay and/or incurs Cost by reason of such Force Majeure, the Contractor shall be entitled subject to Sub-Clause 20.1 [*Contractor's Claims*] to an extension of time for any such delay, if completion is or will be delayed, under Sub-Clause 8.4 [*Extension of Time for Completion*].

After receiving this notice, the Engineer shall proceed in accordance with Sub-Clause 3.5 (*Determinations*) to agree or determine these matters.

19.5 Force Majeure Affecting Sub-Contractor

If any Sub-contractor is entitled under any contract or agreement relating to the Works to relief from force majeure on terms additional to or broader than those specified in this Clause, such additional or broader force majeure events or circumstances shall not excuse the Contractor's non-performance or entitle him to relief under this Clause.

19.6 Optional Termination, Payment and Release

If the execution of substantially all the works in progress is prevented for a continuous period of 84 days by reason of Force Majeure of which notice has been given under Sub-Clause 19.2 [*Notice of Force Majeure*], or for multiple periods, which total more than 140 days due to the same notified Force Majeure, then either Party may give to the other Party a notice of termination of the Contract. In this event, the termination shall take effect 7 days after the notice is given, and the Contractor shall proceed to accordance with Sub-Clause 16.3 [*Cessation of Work and Removal of Contractor's Equipment*].

Upon such termination, the Engineer shall determine the value of the work done and issue a Payment Certificate which shall include:

- (a) the amounts payable for any work carried out for which a price is stated in the Contract;
- (b) the Cost of Plant and Materials ordered for the Works which have been delivered to the Contractor, or of which the Contractor is liable to accept delivery: this Plant and Materials shall

become the property of (and be at the risk of) the Employer when paid for by the Employer, and the Contractor shall place the same at the Employer's disposal;

- (c) any other Cost or liability which in the circumstances was reasonably incurred by the Contractor in the expectation of completing the Works;
- (d) the Cost of removal of Temporary Works and Contractor's Equipment from the Site and the return of these items to the Contractor's works in his country (or to any other destination at no greater cost); and
- (e) the Cost of repatriation of the Contractor's staff and labour employed wholly in connection with the Works at the date of termination.

The above Costs shall be the only compensation to the Contractor. No loss of profit, or the profit that the Contractor would have realized had he continued the Works, shall be paid to the Contractor.

19.7 Release from Performance under the Law

Notwithstanding any other provision of this Clause, if any event or circumstance outside the control of the Parties (including, but not limited to, Force Majeure) arises which makes it impossible or unlawful for either or both Parties to fulfil its or their contractual obligations or which, under the law governing the Contract, entitles the Parties to be released from further performance of the Contract, then upon notice by either Party to the other Party of such event or circumstance:

- (a) the Parties shall be discharged from further performance, without prejudice to the rights of either Party in respect of any previous breach of the Contract, and
- (b) the sum payable by the Employer to the Contractor shall be the same as would have been payable under Sub-Clause 19.6 *[Optional Termination, Payment and Release]* if the Contract had been terminated under Sub-Clause 19.6.

20. CLAIMS, DISPUTES AND ARBITRATION

20.1 Contractor's Claims

If the Contractor considers himself to be entitled to any extension of the Time for Completion and/or any additional payment, under any Clause of these Conditions or otherwise in connection with the Contract, the Contractor shall give notice to the Engineer, describing the event or circumstance giving rise to the claim. The notice shall be given as soon as practicable, and not later than 14 days after the Contractor became aware, or should have become aware, of the event or circumstance.

If the Contractor fails to give notice of claim within such period of 28 days, the Time for Completion shall not be extended, the Contractor shall not be entitled to additional payment, and the Employer shall be discharged from all liability in connection with the claim. Otherwise, the following provisions of this Sub-Clause shall apply.

The Contractor shall also submit any other notices which are required by the Contract, and supporting particulars for the claim, all as relevant to such event or circumstance.

The Contractor shall keep such contemporary records as may be necessary to substantiate any claim, either on the Site or at another location acceptable to the Engineer. Without admitting the Employer's liability, the Engineer may, after receiving any notice under this Sub-Clause, monitor the record-keeping and/or instruct the Contractor to keep further contemporary records. The Contractor shall permit the Engineer to inspect all these records, and shall (if instructed) submit copies to the Engineer.

Within 42 days after the Contractor became aware (or should have become aware) of the event or circumstance giving rise to the claim, or within such other period as may be proposed by the Contractor and approved by the Engineer, the Contractor shall send to the Engineer a fully detailed claim which includes full supporting particulars of the basis of the claim and of the extension of time and/or additional payment claimed. If the event or circumstance giving rise to the claim has a continuing effect:

- (a) this fully detailed claim shall be considered as interim; considering that the impacted as planned method is not accepted to submit the claim.
- (b) the Contractor shall send further interim claims at monthly intervals, giving the accumulated delay and/or amount claimed, and such further particulars as the Engineer may reasonably require; and
- (c) the Contractor shall send a final claim within 28 days after the end of the effects resulting from the event or circumstance, or within such other period as may be proposed by the Contractor and approved by the Engineer.

The Engineer shall proceed in accordance with Sub-Clause 3.5 [*Determinations*] to agree or determine (i) the extension (if any) of the Time for Completion (before or after its expiry) in accordance with Sub-Clause 8.4 [*Extension of Time for Completion*], and/or (ii) the additional payment (if any) to which the Contractor is entitled under the Contract.

The requirements of this Sub-Clause are in addition to those of any other Sub-Clause, which may apply to a claim. If the Contractor fails to comply with this or another Sub-Clause in relation to any claim, any extension of time and/or additional payment shall take account of the extent (if any) to which the failure has prevented or prejudiced proper investigation of the claim, unless the claim is excluded under the second paragraph of this Sub-Clause.

Notwithstanding any other provision of this Contract it shall be a condition precedent to the granting of any extension of time under this Contract that the Contractor shall have demonstrated, to the Engineer's reasonable satisfaction, that it has used its best endeavors to minimize or absorb any delay arising from the occurrence of the events and has complied with Clause 8.4 [*Extension of Time for Completion*] by reprogramming (by the use of its existing resources allocated to the Contract) the order or sequences of work so far as may be practicable (but without being required to increase the resources of the Contractor or its Subcontractors engaged in the physical execution of the Works).

Impacted As-Built and/or Time Impact Analysis method shall be used by the Contractor in preparation of the analysis as described in Sub-Clause 8.4 [*Extension of Time for Completion*] unless another method of analysis is proposed by the Contractor and approved by the Engineer.

20.2 Obtaining the Engineer's Decision

If a dispute (of any kind whatsoever arises between the Parties in connection with or arising out of, the Contract or the execution of the Works, including any dispute as to any certificate, determination, instruction, opinion or valuation of the Engineer, either Party may refer the dispute in writing to the Engineer for its decision, with copies to the other Party and the Engineer. Such reference shall state that it is given under this Sub-Clause.

The Engineer shall act fairly, impartially and at the cost of the Employer. In the event that the Employer intends to replace the Engineer. The Employer's notice under Sub-Clause 3.4 shall include detailed proposals for the appointment of a replacement Engineer.

Both Parties shall promptly make available to the Engineer all such additional information, further access to the Site, and appropriate facilities, as the Engineer may require for the purposes of making a decision on such dispute

Within 84 days after receiving such reference, or within such other period as may be proposed by the Engineer and approved by both Parties, the Engineer shall give its decision, which shall be reasoned and shall state that it is given under this Sub-Clause. The decision shall be binding on both Parties, who shall promptly give effect to it unless and until it shall be revised in an amicable settlement or an arbitral award as described below. Unless the Contract has already been abandoned, repudiated or terminated, the Contractor shall continue to proceed with the Works in accordance with the Contract.

If either Party is dissatisfied with the Engineer's decision, then either Party may, within 28 days after

receiving the decision, give notice to the other Party of its dissatisfaction. If the Engineer fails to give its decision within the period of 84 days (or as otherwise approved) after receiving such reference, then either Party may, within 28 days after this period has expired, give notice to the other Party of its dissatisfaction.

In either event, this notice of dissatisfaction shall state that it is given under this Sub-Clause, and shall set out the matter in dispute and the reason(s) for dissatisfaction. Except as stated in Sub-Clause 20.5 *[Failure to Comply with the Engineer's Decision]* and Sub-Clause 20.6 *[Expiry of the Engineer's Appointment]*, neither Party shall be entitled to commence arbitration of a dispute unless a notice of dissatisfaction has been given in accordance with this Sub-Clause.

If the Engineer has given its decision as to a matter in dispute to both Parties, and no notice of dissatisfaction has been given by either Party within 28 days after it received the Engineer's decision, then the decision shall become final and binding upon both Parties.

20.3 Amicable Settlement

Where notice of dissatisfaction has been given under Sub-Clause 20.2 above, both Parties shall attempt to settle the dispute amicably before the commencement of arbitration. However, unless both Parties agree otherwise, arbitration may be commenced on or after the fifty-sixth day after the day on which notice of dissatisfaction was given, even if no attempt at amicable settlement has been made

20.4 Arbitration

Unless settled amicably, any dispute in respect of which the Engineer's decision (if any) has not become final and binding shall be finally settled by international arbitration. Unless otherwise agreed by both Parties:

- (a) the dispute shall be finally settled under the Rules of Arbitration of the Cairo Regional Centre for International Commercial Arbitration,
- (b) the dispute shall be settled by three arbitrators appointed in accordance with these Rules, and
- (c) the arbitration shall be conducted in the language for communications defined in Sub-Clause 1.4 *[Law and Language]*;
- (d) The place of Arbitration shall be as stated in the Appendix to Tender.

The arbitrator(s) shall have full power to open up, review and revise any certificate, determination, instruction, opinion or valuation of the Engineer, and any decision of the Engineer, relevant to the dispute. Nothing shall disqualify the Engineer from being called as a witness and giving evidence before the arbitrator(s) on any matter whatsoever relevant to the dispute.

Neither Party shall be limited in the proceedings before the arbitrator(s) to the evidence or arguments previously put before the Engineer to obtain its decision, or to the reasons for dissatisfaction given in its notice of dissatisfaction. Any decision of the Engineer shall be admissible in evidence in the arbitration.

Arbitration may be commenced prior to or after completion of the Works. The obligations of the Parties and the Engineer shall not be altered by reason of any arbitration being conducted during the progress of the Works.

20.5 Failure to Comply with Engineer's Decision

In the event that:

- (a) neither Party has given notice of dissatisfaction within the period stated in Sub-Clause 20.2 *[Obtaining the Engineer's Decision]*,
- (b) the Engineer's related decision (if any) has become final and binding, and
- (c) a Party fails to comply with this decision,

then the other Party may, without prejudice to any other rights it may have, refer the failure itself to arbitration under Sub-Clause 20.6 *[Arbitration]*. Sub-Clause 20.2 *[Obtaining the Engineer's Decision]* and Sub-Clause 20.5 *[Amicable Settlement]* shall not apply to this reference.

20.6 Expiry of the Engineer's Appointment

If a dispute arises between the Parties in connection with, or arising out of, the Contract or the execution of the Works and there is no Engineer in place:

- (a) Sub-Clause 20.2 *[Obtaining the Engineer's Decision]* and Sub-Clause 20.3 *[Amicable Settlement]* shall not apply, and
- (b) the dispute may be referred directly to arbitration under Sub-Clause 20.4 *[Arbitration]*.

Annex I
Contractual Milestones

Stage	Contract Amount	One Block	Two Blocks
Basic Scope (Stage 1)	Skeleton works	84,338,150	168,676,300
	Finishes Works	23,696,095	47,392,190
	MEP 1st Fix	35,758,253	71,516,506
	Basic Scope (Stage 1) -(skeleton + Finishes +MEP 1st Fix)	143,792,498	287,584,996

Optional Scope (Stage 2)	MEP 2nd&3rd Fix	37,541,530	75,083,061
	1- (MEP 2nd&3rd Fix)	37,541,530	75,083,061
	Optional scope (Finishes)	11,845,846	23,691,692
	Optional scope (MEP 2nd & 3rd Fix)	21,381,755	42,763,510
	2-Optional (MEP & finishes)	33,227,601	66,455,202
	Total Optional	70,769,131	141,538,263

Grand Total	214,561,629	429,123,258
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HSE Violations & Penalties

Violation	Penalty LE	Notes
Emergency and safety plan	3000/-	For each day until corrected
Appointment of safety engineer	6,500/-	For Each Day of Delay
General requirements and conditions	1,500/-	For any violation mentioned in this item
Alarm bell and siren	1,500/-	For each incident
Temporary electrical connections and Wiring	1,500/-	For any violation mentioned in this item
Cleaning paths and roads	2,000/-	For each incident
Precautionary measures for the protection and safety of the public	3,500/-	For any violation mentioned in this item
Protection and safety of the workers and works on site.	3,500/-	For any violation mentioned in the item
Safety precautions outside the site	2,000/-	For any violation mentioned in this item
Fencing panels	2,000/-	For any violation
Protective health care and precautions	2,000/-	For any violation
Pest and vermin control	2,000/-	For any violation
Non-potable Drinking water at site	2,000/-	For any of violations
W.C.'s at site	3,500/-	For any of violations
Speeding or Reckless	5,000	Each Occurrence
Driving Improper Maintained Equipment	10000	Each Occurrence
Special facilities farmworker	3500/-	For each incident
First aid room	3500/-	For each day
Protection of completed work	3,000/-	For any violation
Protection of environment	6,500/-	For each incident
Not removing the wastes of cleaning the sewerage in the same day	6,000	Daily
Insufficient portable breathing equipment	3,000/-	Daily
Violation in raw sewage water disposal	10,000/-	Per Incident + the Cost of Mitigation if needed